Industry

954 Health Care Entities

954 Health Care Entities

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Affiliate	Amended	Maintenance Update 2018-12	09/10/2018
Affiliate	Added	Accounting Standards Update No. 2013-06	04/19/2013
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Prepaid Health Care Plan	Added	Accounting Standards Update No. 2014-09	05/28/2014
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
954-10-05-1	Amended	Maintenance Update 2021-02	01/19/2021
954-10-05-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016
954-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

954-10-05-1	Amended	Accounting Standards Update No. 2010-07	01/28/2010
954-10-05-3	Amended	Accounting Standards Update No. 2013-06	04/19/2013
954-10-05-3	Amended	Accounting Standards Update No. 2010-07	01/28/2010
954-10-15-1B	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-10-05-1 The Health Care Entities Topic includes the following Subtopics relating specifically to entities in the health care industry:

a. Overall
b. Presentation of Financial Statements
c. Balance Sheet
d. Income Statement
e. Segment Reporting
f. Cash and Cash Equivalents
g. Receivables
h. Subparagraph superseded by Accounting Standards Update No. 2016-01.
i. Investments—Other
j. Other Assets and Deferred Costs
k. Property, Plant, and Equipment
l. Liabilities
m. Subparagraph superseded by Accounting Standards Update No. 2014-09.
n. Commitments
o. Contingencies
p. Guarantees
q. Debt
r. Revenue Recognition—Charity Care and Related Fundraising Entities
s. Other Expenses

t. Income Taxes

tt. Business Combinations (Mergers and Acquisitions)

u. Consolidation

v. Derivatives and Hedging

w. Financial Instruments.

954-10-05-2 Within the Health Care Entities Topic, health care entities usually can be classified into the following categories on the basis of their operating characteristics:

a. Investor-owned health care entities. These are owned by investors or others with a private equity interest and provide goods or services with the objective of making a profit.

b. Not-for-profit, business-oriented entities. These are characterized by no ownership interests and essentially are self-sustaining from fees charged for goods and services. The fees charged by such entities generally are intended to help the entity maintain its self-sustaining status rather than to maximize profits for the owner's benefit. Such entities often are exempt from federal income taxes and may receive contributions of relatively small amounts from resource providers that do not expect commensurate or proportionate pecuniary return.

> Not-for-Profit, Business-Oriented Health Care Entities

954-10-05-3 This Topic provides specific incremental reporting guidance for not-for-profit, business-oriented health care entities. The guidance in Topic 958 applies to all not-for-profit entities (NFPs), regardless of whether the entity is essentially self-sustaining from fees charged for goods and services. The following Subtopics, among others in that Topic, provide guidance that is applicable to not-for-profit, business-oriented health care entities:

a. Contributions (see the Contributions Received Subsections of Subtopic 958-605), which include all of the following:

1. Permanent endowments
2. Gifts in kind
3. Contributed utilities, facilities, or use of long-lived assets.

b. Transfers to an NFP or charitable trust that raises or holds contributions for others (see the Transfers of Assets Subsections of Subtopic 958-605)

c. Contributions received by agents, trustees, and intermediaries (see the Transfers of Assets Subsections of Subtopic 958-605)

d. Split-interest agreements (see Subtopic 958-30)

e. Financial statements of NFPs (see Topic 958), which include all of the following:

1. Presentation in financial statements (see Subtopic 958-205)
2. Statement of financial position (see Subtopic 958-210)
3. Statement(s) of operations and changes in net assets (see Subtopic 958-220)
4. Statement of cash flows (see Subtopic 958-230).

f. Promises to give (see Subtopic 958-310)

ff. Business combinations (see Subtopic 958-805), which include all of the following:

1. Mergers of not-for-profit entities
2. Acquisitions by not-for-profit entities

g. Consolidation (see Subtopic 958-810)

h. Services received from personnel of an affiliate (see Subtopic 958-720).

> Investor-Owned Health Care Entities

954-10-05-4 The guidance in this Topic also provides incremental guidance for investor-owned health care entities.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-10-15-1 The Subtopics within the Health Care Entities Topic only provide incremental industry-specific guidance for the entities defined in the Scope Section or as further defined in the individual Health Care Entities Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

954-10-15-1A The Health Care Entities Topic applies to health care entities, which are the following types of entities:

a. Entities whose principal operations consist of providing or agreeing to provide health care services and that derive all or almost all of their revenues from the sale of goods or services

b. Entities whose primary activities are the planning, organization, and oversight of such entities, such as parent or holding companies of health care providers.

954-10-15-1B The Health Care Entities Topic applies to the following types of health care entities:

a. Clinics, medical group practices, individual practice associations, individual practitioners, emergency care facilities, laboratories, surgery centers, and other ambulatory care entities

b. Continuing care retirement communities

c. Health maintenance organizations and similar prepaid health care plans

d. Home health agencies

e. Hospitals

f. Nursing homes that provide skilled, intermediate, and less intensive levels of health care

g. Drug and alcohol rehabilitation centers and other rehabilitation facilities

h. Integrated delivery systems that include one or more of the above types of entities.

954-10-15-2 The Health Care Entities Topic provides guidance for entities described in the previous paragraph if they are either:

a. Investor-owned health care entities

b. Not-for-profit, business-oriented entities.

See Section 954-10-05 for a description of these entities.

954-10-15-3 Not-for-profit, non-business-oriented entities are voluntary health and welfare entities as defined in Topic 958. Such entities are within the scope of that Topic rather than this Topic.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See Control.

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Control

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return

b. Operating purposes other than to provide goods or services at a profit

c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

a. All investor-owned entities

b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

954 Health Care Entities

205 Presentation of Financial Statements

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-205-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
954-205-45-8	Superseded	Accounting Standards Update No. 2016-14	08/18/2016
954-205-45-9	Superseded	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

ⓘ **General Note**:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-205-05-1 This Subtopic provides guidance on the presentation of financial statements for health care entities. The financial reporting for not-for-profit, business-oriented entities and investor-owned health care entities is consistent except for transactions that clearly are not applicable. For example, not-for-profit, business-oriented entities would have nothing to report for shareholders' equity. On the other hand, investor-owned health care entities typically would not have anything to report for contributions.

954-205-05-2 A not-for-profit, business-oriented health care entity also applies guidance in the following Subtopics subject to the more specific guidance that is provided in this Topic:

a. Not-for-Profit Entities—Presentation of Financial Statements, Subtopic 958-205
b. Not-for-Profit Entities—Statement of Financial Position, Subtopic 958-210
c. Not-for-Profit Entities—Income Statement—Reporting Comprehensive Income, Subtopic 958-220
d. Not-for-Profit Entities—Statement of Cash Flows, Subtopic 958-230.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

954-205-15-2 Paragraph not used.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Complete Set of Financial Statements

954-205-45-1 The basic financial statements of health care entities consist of a balance sheet, a statement of operations, a statement of changes in equity (or net assets), a statement of cash flows, and notes to the financial statements.

954-205-45-2 The terms *balance sheet* and *statement of operations* indicate the content and purpose of the respective statements and serve as possible titles for those statements. Other appropriately descriptive titles may also be used. For example, a statement reporting financial position could be called a statement of financial position as well as a balance sheet. Current practice and purpose suggest, however, that a statement of cash flows only be titled Statement of Cash Flows.

954-205-45-3 Paragraph not used.

954-205-45-4 Paragraph not used.

954-205-45-5 Paragraph not used.

954-205-45-6 Paragraph not used.

954-205-45-7 Paragraph not used.

954-205-45-8 Paragraph superseded by Accounting Standards Update No. 2016-14.

954-205-45-9 Paragraph superseded by Accounting Standards Update No. 2016-14.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-205-50-1 Section not used.

954 Health Care Entities

210 Balance Sheet

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-210-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Donor-Imposed Restriction	Added	Accounting Standards Update No. 2016-14	08/18/2016
Net Assets without Donor Restrictions	Added	Accounting Standards Update No. 2016-14	08/18/2016

Unrestricted Net Assets	Superseded	Accounting Standards Update No. 2016-14	08/18/2016
954-210-45-2	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-210-45-4	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-210-45-5 through 45-7	Added	Maintenance Update 2017-21	12/22/2017
954-210-50-1	Superseded	Accounting Standards Update No. 2016-14	08/18/2016
954-210-50-2	Amended	Maintenance Update 2021-09	08/20/2021
954-210-50-2	Amended	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-210-05-1 This Subtopic provides guidance on balance sheets for health care entities.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-210-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic (Section 954-10-15).

954-210-15-2 Paragraph not used.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Donor-Imposed Restriction

A donor stipulation (donors include other types of contributors, including makers of certain grants) that specifies a use for a contributed asset that is more specific than broad limits resulting from the following:

a. The nature of the not-for-profit entity (NFP)
b. The environment in which it operates
c. The purposes specified in its articles of incorporation or bylaws or comparable documents for an unincorporated association.

Some donors impose restrictions that are temporary in nature, for example, stipulating that resources be used after a specified date, for particular programs or services, or to acquire buildings or equipment. Other donors impose restrictions that are perpetual in nature, for example, stipulating that resources be maintained in perpetuity. Laws may extend those limits to investment returns from those resources and to other enhancements (diminishments) of those resources. Thus, those laws extend donor-imposed restrictions.

Health Maintenance Organization

A generic group of medical care entities organized to provide defined health care services to members in return for fixed, periodic premiums (usually paid monthly) that are paid in advance.

Net Assets without Donor Restrictions

The part of net assets of a not-for-profit entity that is not subject to donor-imposed restrictions (donors include other types of contributors, including makers of certain grants).

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-210-45-1 Health care entities, including not-for-profit, business-oriented health care entities, shall classify assets and liabilities as current and noncurrent as discussed in Section 210-10-45. However, rather than presenting a classified balance sheet, a continuing care retirement community instead may sequence assets according to their nearness of conversion to cash and may sequence liabilities according to the nearness of the maturity and resulting use of cash.

> Net Assets without Donor Restrictions

954-210-45-2 Net assets without donor restrictions of not-for-profit, business-oriented health care entities include assets whose use is contractually limited, such as the following:

a. Proceeds of debt issues and funds of the not-for-profit, business-oriented health care entity deposited with a trustee and limited to use in accordance with the requirements of an indenture or a similar agreement.

b. Other assets limited to use for identified purposes through an agreement between the not-for-profit, business-oriented health care entity and an outside party other than a donor or grantor. Examples include assets set aside under debt agreements, assets set aside under self-insurance (risk-retention) funding arrangements, and assets set aside to meet statutory reserve requirements (such as those required under state laws and regulations for many health maintenance organizations). (See paragraph 954-810-45-4.)

> Interfund Receivables or Payables

954-210-45-3 Interfund receivables (or payables) may exist in internal records. However, since general-purpose financial statements of not-for-profit, business-oriented health care entities do not classify assets and liabilities into fund groups, interfund receivables (or payables) are eliminated.

> Assets Limited as to Use

954-210-45-4 Internally designated funds shall be reported separately from externally restricted funds either on the face of the balance sheet or in the notes to the financial statements.

> Cash and Cash Equivalents

954-210-45-5 Cash and claims to cash that meet any of the following conditions shall be reported separately and shall be excluded from current assets:

a. They are restricted as to withdrawal or use for other than current operations.
b. They are designated for expenditure in the acquisition or construction of noncurrent assets.
c. They are required to be segregated for the liquidation of long-term debts.
d. They are limited to use for long-term purposes by a donor-imposed restriction.

· > Guidance Applicable to Not-for-Profit, Business-Oriented Health Care Entities Only

954-210-45-6 For fiduciary purposes, separate checking or savings accounts may be maintained for donations with donor restrictions. However, unless required by paragraph 954-210-45-5, such accounts are not reported on a line separate from other cash and cash equivalents because donor restrictions generally relate to limitations on the use of net assets rather than on the use of specific assets. A columnar presentation that highlights the two classes of net assets (that is, without donor restrictions and with donor restrictions) is not precluded if the totals for the reporting entity as a whole are displayed.

954-210-45-7 Paragraph superseded by Accounting Standards Update No. 2016-14.

50 Disclosure

ⓘ **General Note**:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-210-50-1 Paragraph superseded by Accounting Standards Update No. 2016-14.

> Assets Limited as to Use

954-210-50-2 When internally designated funds are reported separately from externally restricted funds in accordance with paragraph 954-210-45-4, if the form of the assets is not evident from the description on the balance sheet, the form of the assets shall be disclosed in the notes to the financial statements.

954 Health Care Entities
220 Income Statement—Reporting Comprehensive Income

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-220-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Affiliate	Amended	Maintenance Update 2018-12	09/10/2018
Affiliate	Added	Maintenance Update 2017-19	11/15/2017
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Added	Maintenance Update 2017-19	11/15/2017
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Donor-Imposed Restriction	Added	Maintenance Update 2017-19	11/15/2017
Equity Transfer	Added	Maintenance Update 2017-19	11/15/2017
Functional Expense Classification	Added	Maintenance Update 2017-19	11/15/2017
Inherent Contribution	Added	Maintenance Update 2017-19	11/15/2017
Net Assets with Donor Restrictions	Added	Maintenance Update 2017-19	11/15/2017
Net Assets without Donor Restrictions	Added	Maintenance Update 2017-19	11/15/2017
Performance Indicator	Added	Maintenance Update 2017-19	11/15/2017
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
954-220-05-1	Added	Maintenance Update 2017-19	11/15/2017
954-220-15-1	Added	Maintenance Update 2017-19	11/15/2017
954-220-15-2	Added	Maintenance Update 2017-19	11/15/2017
954-220-45-1 through 45-11	Added	Maintenance Update 2017-19	11/15/2017
954-220-45-6	Amended	Accounting Standards Update No. 2025-12	12/17/2025
954-220-50-1	Added	Maintenance Update 2017-19	11/15/2017
954-220-50-2	Added	Maintenance Update 2017-19	11/15/2017
954-220-55-1 through 55-6	Added	Maintenance Update 2017-19	11/15/2017

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-220-05-1 This Subtopic provides guidance on the presentation of a statement of operations and a statement of changes in net assets by not-for-profit, business-oriented health care entities.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-220-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic (see Section 954-10-15), with specific entity qualifications noted below.

> Entities

954-220-15-2 The guidance in this Subtopic applies only to not-for-profit, business-oriented health care entities.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See Control.

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Control

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Donor-Imposed Restriction

A donor stipulation (donors include other types of contributors, including makers of certain grants) that specifies a use for a contributed asset that is more specific than broad limits resulting from the following:

a. The nature of the not-for-profit entity (NFP)

b. The environment in which it operates

c. The purposes specified in its articles of incorporation or bylaws or comparable documents for an unincorporated association.

Some donors impose restrictions that are temporary in nature, for example, stipulating that resources be used after a specified date, for particular programs or services, or to acquire buildings or equipment. Other donors impose restrictions that are perpetual in nature, for example, stipulating that resources be maintained in perpetuity. Laws may extend those limits to investment returns from those resources and to other enhancements (diminishments) of those resources. Thus, those laws extend donor-imposed restrictions.

Equity Transfer

An equity transfer is nonreciprocal. An equity transfer is a transaction directly between a transferor and a transferee. Equity transfers are similar to ownership transactions between a for-profit parent and its owned subsidiary (for example, additional paid-in capital or dividends). However, equity transfers can occur only between related not-for-profit entities (NFPs) if one controls the other or both are under common control. An equity transfer embodies no expectation of repayment, nor does the transferor receive anything of immediate economic value (such as a financial interest or ownership).

Functional Expense Classification

A method of grouping expenses according to the purpose for which costs are incurred. The primary functional classifications of a not-for-profit entity are program services and supporting activities.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Net Assets with Donor Restrictions

The part of net assets of a not-for-profit entity that is subject to donor-imposed restrictions (donors include other types of contributors, including makers of certain grants).

Net Assets without Donor Restrictions

The part of net assets of a not-for-profit entity that is not subject to donor-imposed restrictions (donors include other types of contributors, including makers of certain grants).

Performance Indicator

A performance indicator reports results of operations. A performance indicator and the income from continuing operations reported by for-profit health care entities generally are consistent, except for transactions that clearly are not applicable to one kind of entity (for example, for-profit health care entities typically would not receive contributions, and not-for-profit health care entities would not award stock compensation). That is, a performance indicator is analogous to income from continuing operations of a for-profit entity.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Activities

954-220-45-1 For not-for-profit, business-oriented health care entities, the statement of operations may be combined with the statement of changes in equity (net assets).

> Equity Transfers

954-220-45-2 Equity transfers are reported separately as changes in net assets, are excluded from the performance indicator, and do not result in any step-up in basis of the underlying assets transferred. Paragraph 958-720-30-3 provides guidance on services received from personnel of an affiliate that directly benefits the recipient not-for-profit, business-oriented health care entity and for which the affiliate does not charge the recipient entity. Paragraph 958-20-55-2B describes the difference between an equity transfer and an equity transaction.

954-220-45-3 The increase in net assets associated with services received from personnel of an affiliate that directly benefit the recipient not-for-profit, business-oriented health care entity and for which the affiliate does not charge the recipient entity shall be reported as an equity transfer, regardless of whether those services are received from personnel of a not-for-profit affiliate or any other affiliate. The corresponding decrease in net assets or the creation or enhancement of an asset resulting from the use of services received from personnel of an affiliate shall be reported similar to how other such expenses or assets are reported.

> Functional Allocations

954-220-45-4 Functional expense classification is a method of grouping expenses according to the purpose for which costs are incurred. The primary functional expense classifications are program services and supporting activities. The extent of classification and subclassification of expenses depends on many factors, such as the nature and complexity of the health care entity. For example, in complying with the requirements of paragraphs 958-205-45-6, 958-720-05-4, and 958-720-45-2, some not-for-profit health care entities may present only two categories: health services (including inpatient services, outpatient procedures, home health services, and so forth) and general and administrative. Others may present additional distinctions such as physician services, research, and teaching. Functional allocations shall be based on full cost allocations.

> Performance Indicator and Intermediate Operating Measures

954-220-45-5 The statement of operations for not-for-profit, business-oriented health care entities shall include a performance indicator. Because of the importance of the performance indicator, it shall be clearly labeled with a descriptive term such as revenues over expenses, revenues and gains over expenses and losses, recognized income, or performance earnings. Not-for-profit, business-oriented health care entities shall report the performance indicator in a statement that also presents the total changes in net assets without donor restrictions. Other changes in net assets may be presented separately or in the same statement.

954-220-45-6 Classifying revenues, expenses, gains, and losses within classes of net assets does not preclude incorporating additional classifications within the performance indicator. For example, within a class or classes of changes in net assets, an NFP may classify items as operating and nonoperating, expendable and nonexpendable, recognized and unrecognized, recurring and nonrecurring, or in other ways.

PENDING CONTENT

Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** 105-10-65-10

Classifying revenues, expenses, gains, and losses within classes of net assets does not preclude incorporating additional classifications within the performance indicator. For example, within a class or classes of changes in net assets, an NFP may classify items as operating and nonoperating, expendable and nonexpendable, recurring and nonrecurring, or in other ways.

954-220-45-7 This guidance neither requires nor precludes reporting such intermediate measures or subtotals. Guidance on the use of an intermediate measure of operations is discussed in paragraphs 958-220-45-11 through 45-12.

954-220-45-8 Health care entities shall report the following items separately from the performance indicator:

a. Transactions with owners acting in that capacity.

b. Equity transfers involving other entities that control the reporting entity, are controlled by the reporting entity, or are under common control with the reporting entity.

c. Receipt of donor-restricted contributions.

d. Contributions of, and assets released from donor restrictions related to, long-lived assets.

e. Items that are required to be reported in or reclassified from other comprehensive income in accordance with paragraph 220-10-45-10A, which includes, but is not limited to, gains or losses, prior service costs or credits, and transition assets or obligations recognized in accordance with Topic 715; foreign currency translation adjustments; the portion of the gain or loss on derivative instruments designated and qualifying as cash flow hedging instruments included in the assessment of effectiveness, and for all qualifying hedging relationships amounts excluded from the assessment of effectiveness and recognized in earnings through an amortization approach in accordance with paragraph 815-20-25-83A.

f. Items that are required to be reported separately under specialized not-for-profit standards.

g. Unrealized gains and losses on investments on other than trading debt securities, in accordance with paragraph 954-220-45-9.

h. Investment returns restricted by donors or by law.

i. Subparagraph superseded by Accounting Standards Update No. 2016-14.

j. Subparagraph superseded by Accounting Standards Update No. 2016-14.

k. An inherent contribution (see paragraph 958-805-25-31) that increases net assets with donor restrictions, as described in paragraph 954-805-45-2.

l. The portion of the total change in the fair value of the liability resulting from a change in the instrument-specific credit risk, in accordance with paragraph 825-10-45-5.

954-220-45-9 Investment return (including realized and unrealized gains and losses) not restricted by donors or by law shall be classified as changes in net assets without donor restrictions as follows:

a. Included in the performance indicator are:

1. Dividend, interest, and other similar investment income
2. Realized gains and losses
3. Unrealized gains and losses on trading debt securities (trading securities are defined in Topic 320)
4. Credit loss expense (see Topic 326)
5. Unrealized gains and losses and impairments on equity investments accounted for under Topic 321.

b. Excluded from the performance indicator are unrealized gains and losses on debt securities, unless the debt security is a trading debt security.

954-220-45-10 If gains and investment income that are limited to specific uses by donor-imposed restrictions are reported as increases in net assets without donor restrictions in accordance with paragraph 958-220-45-6, classification of those gains and investment income should be consistent with the previous paragraph.

954-220-45-11 See paragraphs 958-220-45-23 through 45-24 for additional guidance on reporting investment gains, losses, and income.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Performance Indicator and Intermediate Operating Measures

954-220-50-1 The notes to the financial statements shall include a description of the nature and composition of the performance indicator.

954-220-50-2 Pursuant to paragraph 958-220-50-1, because terms such as operating income are used with different meanings, if an intermediate measure of operations is reported and its use is not apparent from the details provided on the face of the statement, a note to the financial statements shall describe the nature of the reported measure of operations or the items excluded from operations.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

954-220-55-1 Paragraph superseded by Accounting Standards Update No. 2016-14.

> Illustrations

· > Example 1: Other-than-Trading Debt Securities

954-220-55-2 This Example illustrates the accounting treatment and financial statement presentation for other-than-trading debt securities of a not-for-profit health care entity.

954-220-55-3 Other-than-trading debt securities are purchased in Year 1 at a cost of $100. At the end of Year 1, the fair value of the securities is $300. In Year 2, the securities are sold for $400.

954-220-55-4 The journal entries are as follows:

Entry at the end of Year 1 to adjust the recorded value of the securities to fair value.

Investments	$ 200	
Change in net unrealized gains and losses on investments		$ 200

Entry at the end of Year 2 to record the sale of the securities.

Cash	$ 400	
Realized gain		$ 300
Investments		100
Change in net unrealized gains and losses on investments	200	
Investments		200

954-220-55-5 As discussed in paragraph 954-220-45-9, unrealized gains and losses on debt securities (except for trading debt securities) are reported in the statement of operations outside of the performance indicator and realized gains and losses are reported in the statement of operations within the performance indicator.

954-220-55-6 Two possible presentations of net investment return on the statement of operations of a not-for-profit health care entity that presents a performance indicator in accordance with the information and illustration in paragraphs 954-220-55-3 through 55-5 are as follows.

Format 1: Year 1 Presentation of Net Investment Return

Revenue	$ X,XXX
Expenses	XXX
Excess of revenues over expenses	XXX
Investment return, net	XXX
Less:	
Unrealized gains (losses) on other than trading debt securities excluded from performance indicator	(200)
Performance indicator	XXX
Add:	
Unrealized gains (losses) on other than trading debt securities excluded from performance indicator	200
Change in net assets without donor restrictions	$ XXX

Format 2: Year 1 Presentation of Net Investment Return

Revenue	$ X,XXX
Expenses	XXX
Excess of revenues over expenses	XXX
Investment return, net, excluding unrealized gains (losses) on debt	XXX
Performance indicator	XXX
Unrealized gains (losses) on other than trading debt securities excluded from performance indicator	200
Change in net assets without donor restrictions	$ XXX

954 Health Care Entities

225 Income Statement

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-225-00-1 The following table identifies the changes made to this Subtopic

Paragraph	Action	Accounting Standards Update	Date
Affiliate	Superseded	Maintenance Update 2017-19	11/15/2017
Affiliate	Added	Accounting Standards Update No. 2013-06	04/19/2013
Contribution	Superseded	Maintenance Update 2017-19	11/15/2017
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Donor-Imposed Restriction	Superseded	Maintenance Update 2017-19	11/15/2017
Donor-Imposed Restriction	Added	Accounting Standards Update No. 2016-14	08/18/2016
Equity Transfer	Superseded	Maintenance Update 2017-19	11/15/2017
Functional Expense Classification	Superseded	Maintenance Update 2017-19	11/15/2017
Functional Expense Classification	Added	Accounting Standards Update No. 2016-14	08/18/2016
Inherent Contribution	Superseded	Maintenance Update 2017-19	11/15/2017
Inherent Contribution	Added	Accounting Standards Update No. 2010-07	01/28/2010
Net Assets with Donor Restrictions	Superseded	Maintenance Update 2017-19	11/15/2017
Net Assets with Donor Restrictions	Added	Accounting Standards Update No. 2016-14	08/18/2016
Net Assets without Donor Restrictions	Superseded	Maintenance Update 2017-19	11/15/2017
Net Assets without Donor Restrictions	Added	Accounting Standards Update No. 2016-14	08/18/2016
Performance Indicator	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-05-1	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-15-1	Superseded	Maintenance Update 2017-19	11/15/2017

954-225-15-2	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-45-1 through 45-10	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-45-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
954-225-45-2	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-225-45-2	Amended	Accounting Standards Update No. 2013-06	04/19/2013
954-225-45-2A	Added	Accounting Standards Update No. 2013-06	04/19/2013
954-225-45-3	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-225-45-4	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-225-45-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-225-45-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-225-45-6 through 45-9	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-225-45-7	Amended	Accounting Standards Update No. 2017-12	08/28/2017
954-225-45-7	Amended	Accounting Standards Update No. 2016-19	12/14/2016
954-225-45-7	Amended	Accounting Standards Update No. 2016-01	01/05/2016
954-225-45-7	Amended	Accounting Standards Update No. 2015-01	01/09/2015
954-225-45-7	Amended	Accounting Standards Update No. 2010-07	01/28/2010
954-225-45-8	Amended	Accounting Standards Update No. 2016-13	06/16/2016
954-225-45-8 through 45-10	Added	Accounting Standards Update No. 2016-01	01/05/2016
954-225-50-1	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-50-2	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-55-1 through 55-6	Superseded	Maintenance Update 2017-19	11/15/2017
954-225-55-1	Superseded	Accounting Standards Update No. 2016-14	08/18/2016
954-225-55-2 through 55-5	Added	Accounting Standards Update No. 2016-01	01/05/2016

954-225-55-5	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-225-55-6	Added	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-225-05-1 Paragraph superseded by Maintenance Update 2017-19.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

954-225-15-1 Paragraph superseded by Maintenance Update 2017-19.

954-225-15-2 Paragraph superseded by Maintenance Update 2017-19.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note:All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-225-45-1 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-2 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-2A Paragraph superseded by Maintenance Update 2017-19.

954-225-45-3 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-4 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-5 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-6 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-7 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-8 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-9 Paragraph superseded by Maintenance Update 2017-19.

954-225-45-10 Paragraph superseded by Maintenance Update 2017-19.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-225-50-1 Paragraph superseded by Maintenance Update 2017-19.

954-225-50-2 Paragraph superseded by Maintenance Update 2017-19.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

954-225-55-1 Paragraph superseded by Maintenance Update 2017-19.

954-225-55-2 Paragraph superseded by Maintenance Update 2017-19.

954-225-55-3 Paragraph superseded by Maintenance Update 2017-19.

954-225-55-4 Paragraph superseded by Maintenance Update 2017-19.

954-225-55-5 Paragraph superseded by Maintenance Update 2017-19.

954-225-55-6 Paragraph superseded by Maintenance Update 2017-19.

954 Health Care Entities

280 Segment Reporting

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-280-05-1 This Subtopic provides guidance on segment reporting for investor-owned health care entities.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-280-15-1 The Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15, with specific entity qualifications noted below.

> Entities

954-280-15-2 The guidance in this Subtopic applies only to investor-owned health care entities.

45 Other Presentation Matters

ⓘ **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-280-45-1 When providing information about major customers pursuant to paragraph 280-10-50-42, an insuring entity shall not be considered the customer of a health care facility. The fact that an insuring entity is a paying agent for the patient does not make the insuring entity the customer of the health care facility because the insuring entity does not decide which services to purchase and from which health care facility to purchase the services. The latter two factors are important in determining the customer.

954 Health Care Entities
305 Cash and Cash Equivalents

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-305-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Donor-Imposed Restriction	Superseded	Maintenance Update 2017-21	12/22/2017
Donor-Imposed Restriction	Added	Accounting Standards Update No. 2016-14	08/18/2016
954-305-05-1	Superseded	Maintenance Update 2017-21	12/22/2017
954-305-15-1	Superseded	Maintenance Update 2017-21	12/22/2017
954-305-45-1	Superseded	Maintenance Update 2017-21	12/22/2017
954-305-45-1	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-305-45-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-305-45-3	Superseded	Maintenance Update 2017-21	12/22/2017
954-305-45-3	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-305-45-4	Superseded	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-305-05-1 Paragraph superseded by Maintenance Update 2017-21.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

954-305-15-1 Paragraph superseded by Maintenance Update 2017-21.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-305-45-1 Paragraph superseded by Maintenance Update 2017-21.

954-305-45-2 Paragraph not used.

954-305-45-3 Paragraph superseded by Maintenance Update 2017-21.

954-305-45-4 Paragraph superseded by Accounting Standards Update No. 2016-14.

954 Health Care Entities

310 Receivables

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract Asset	Added	Accounting Standards Update No. 2014-09	05/28/2014

Contract Liability	Added	Accounting Standards Update No. 2014-09	05/28/2014
954-310-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-05-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-30-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
954-310-30-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-35-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
954-310-35-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-45-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-310-50-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-310-50-3	Added	Accounting Standards Update No. 2011-07	07/25/2011
954-310-55-1 through 55-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-310-55-1 through 55-3	Added	Accounting Standards Update No. 2011-07	07/25/2011

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-310-05-1 This Subtopic provides guidance on receivables for health care entities within the scope of this Topic.

954-310-05-2 Amounts due from third-party payors for health care services are usually less than the provider's full established rates for those services. The receivable amounts may be determined by any of the following:

a. Contractual agreement with others (such as Blue Cross plans, Medicare, Medicaid, or health maintenance organizations)

b. Legislation or regulation (such as workers' compensation or no-fault insurance)

c. Provider policy or practice (such as courtesy discounts to medical staff members and employees or other administrative adjustments).

> Third-Party Settlements

954-310-05-3 Some third-party payors retrospectively determine final amounts reimbursable for services rendered to their beneficiaries based on allowable costs. These payors reimburse the health care entity on the basis of interim payment rates until the retrospective determination of allowable costs can be made. In most instances, the accumulation and allocation of allowable costs and other factors result in final settlements different from the interim payment rates. Final settlements are determined after the close of the fiscal periods to which they apply and may affect materially the health care entity's financial position and results of operations.

> Stop-Loss Insurance Receivables

954-310-05-4 Some health care entities, for example, providers of prepaid health care services, contract to provide comprehensive health care services for a fixed period in return for fixed periodic premiums. Many of those entities may transfer a portion of their financial risks under the contract to another entity by purchasing stop-loss insurance. Receivables of those entities may include uncollected premiums and amounts recoverable from stop-loss insurers, reduced by appropriate valuation allowances.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract Asset

An entity's right to consideration in exchange for goods or services that the entity has transferred to a customer when that right is conditioned on something other than the passage of time (for example, the entity's future performance).

Contract Liability

An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Equity Transfer

An equity transfer is nonreciprocal. An equity transfer is a transaction directly between a transferor and a transferee. Equity transfers are similar to ownership transactions between a for-profit parent and its owned subsidiary (for example, additional paid-in capital or dividends). However, equity transfers can occur only between related not-for-profit entities (NFPs) if one controls the other or both are under common control. An equity transfer embodies no expectation of repayment, nor does the transferor receive anything of immediate economic value (such as a financial interest or ownership).

Health Maintenance Organization

A generic group of medical care entities organized to provide defined health care services to members in return for fixed, periodic premiums (usually paid monthly) that are paid in advance.

Prepaid Health Care Services Providers

Entities that provide or arrange for the delivery of health care services in accordance with the terms and provisions of a prepaid health care plan. Providers assume the financial risk of the cost of delivering health care services in excess of preestablished fixed premiums. However, some or all of the financial risk may be contractually transferred to other providers (affiliated entities) or by purchasing stop-loss insurance. Other providers of prepaid health care services may include comprehensive medical plans, physicians groups (for example, independent practice associations), and hospitals.

Stop-Loss Insurance

A contract in which an entity agrees to indemnify providers for certain health care costs incurred by members.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

954-310-25-1 The provision of charity care does not qualify for recognition as receivables in the financial statements.

> Stop-Loss Insurance Receivables

954-310-25-2 Any uncollected premiums and amounts recoverable from stop-loss insurers reduced by appropriate valuation allowances shall be included in receivables. See also paragraph 954-720-45-1.

> Receivables from Related Entities

954-310-25-3 A health care entity may loan or advance resources to a related entity. If repayment is reasonably assured, a receivable or payable should be recorded by the entities.

30 Initial Measurement

ⓘ **General Note**:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

954-310-30-1 Contractual adjustments and discounts are variable consideration and shall be measured in accordance with paragraphs 606-10-32-5 through 32-14. An allowance for credit losses shall be recorded in accordance with Topic 326 on measurement of credit losses.

35 Subsequent Measurement

ⓘ **General Note**:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-310-35-1 Contractual adjustments and discounts shall be subsequently measured in accordance with paragraphs 606-10-32-5 through 32-14 and paragraphs 606-10-32-42 through 32-45. An allowance for credit losses shall be subsequently recorded in accordance with Topic 326 on measurement of credit losses.

40 Derecognition

General Note:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Receivables from Related Entities

954-310-40-1 If a receivable from a related entity is not to be repaid, or if the related entity is perceived as unable to repay, the write-off of the receivable may be recognized as an equity transfer (see paragraph 954-220-45-2) with the transferor reducing net assets and the transferee increasing net assets at the date such determination is made.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Accounts Receivable

954-310-45-1 Receivables shall be reported net of an allowance for doubtful accounts. (See also the guidance in paragraphs 606-10-45-1 through 45-5 on presenting receivables, contract assets, and contract liabilities). Although the aggregate amount of receivables may include balances due from patients and third-party payors (including final settlements and appeals), the amounts due from third-party payors for retroactive adjustments of items such as final settlements or appeals shall be reported separately in the financial statements.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-310-50-1 With regard to contractual adjustments and third-party settlements, identification and explanation of the estimated amounts that are receivable by the entity shall be disclosed.

954-310-50-2 Section 825-10-50 provides guidance on the required disclosures about significant concentrations of credit risk arising from all financial instruments, including trade accounts receivable. Concentration of credit risk frequently is an issue because most health care entities generally tend to treat patients from their local or surrounding communities. Accordingly, disclosure shall be made of the primary geographic sources of patients. It should be noted that concentration of credit risk may be a significant issue in standalone financial statements issued for a member hospital of a large national multihospital system but may not be an issue for financial statements prepared for the hospital system. When the individual facilities' financial statements are consolidated into statements prepared for the entire system, the credit risk is dispersed over a much larger base of health plans, patients, and geographies and, therefore, is not as concentrated.

954-310-50-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

954-310-55-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-310-55-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-310-55-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954 Health Care Entities

320 Investments—Debt and Equity Securities

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-320-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Donor-Imposed Restriction	Added	Accounting Standards Update No. 2016-14	08/18/2016
Net Assets without Donor Restrictions	Added	Accounting Standards Update No. 2016-14	08/18/2016
Performance Indicator	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-05-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-05-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-320-15-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-15-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-320-35-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-35-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-320-45-1	Amended	Accounting Standards Update No. 2016-14	08/18/2016

954-320-45-1 through 45-3	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-45-2	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-320-55-1 through 55-4	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
954-320-55-4	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-320-55-5	Added	Accounting Standards Update No. 2016-14	08/18/2016
954-320-55-5	Superseded	Accounting Standards Update No. 2016-14	08/18/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-320-05-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

954-320-15-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note:All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-320-35-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections.

Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-320-45-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-45-2 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-45-3 Paragraph superseded by Accounting Standards Update No. 2016-01.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

954-320-55-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-55-2 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-55-3 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-55-4 Paragraph superseded by Accounting Standards Update No. 2016-01.

954-320-55-5 Paragraph superseded by Accounting Standards Update No. 2016-01.

954 Health Care Entities

325 Investments—Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-325-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-325-05-1 This Subtopic provides guidance on investments of the health care entities within the scope of this Topic if those investments are not financial instruments.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-325-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15, with specific instrument exceptions noted below.

> Instruments

954-325-15-2 This Subtopic provides guidance on investments that are other than financial instruments.

> Other Considerations

954-325-15-3 This Subtopic does not provide guidance on investments of a not-for-profit business-oriented health care entity that are held by a financially interrelated entity.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Financial Instrument

Cash, evidence of an ownership interest in an entity, or a contract that both:

a. Imposes on one entity a contractual obligation either:
   1. To deliver cash or another financial instrument to a second entity
   2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
b. Conveys to that second entity a contractual right either:
   1. To receive cash or another financial instrument from the first entity
   2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of

obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.
Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.
For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

PENDING CONTENT

Transition Date: P December 16, 2024; N December 16, 2025 | **Transition Guidance:** 105-10-65-9

Cash, evidence of an ownership interest in an entity, or a contract that both:

a. Imposes on one entity a contractual obligation either:
   1. To deliver cash or another financial instrument to a second entity
   2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
b. Conveys to that second entity a contractual right either:
   1. To receive cash or another financial instrument from the first entity
   2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.
Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.
For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Financially Interrelated Entities

A recipient entity and a specified beneficiary are financially interrelated entities if the relationship between them has both of the following characteristics:

a. One of the entities has the ability to influence the operating and financial decisions of the other.
b. One of the entities has an ongoing economic interest in the net assets of the other.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-325-35-1 Other types of investments that are not financial instruments (such as real estate or certain oil and gas interests) are reported at amortized cost and are subject to impairment considerations consistent with the Impairment or Disposal of Long-lived Assets Subsections of Subtopic 360-10.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-325-45-1 Pursuant to paragraph 954-360-45-1, property held for investment purposes shall be presented as part of investments.

954 Health Care Entities

340 Other Assets and Deferred Costs

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-340-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
954-340-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-340-35-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-340-05-1 This Subtopic addresses other assets and deferred costs for health care entities within the scope of this Topic.

954-340-05-2 Other assets may include prepaid expenses, deposits, and deferred expenses. Prepaid costs may include amounts paid to physicians for future services (for example, administering a hospital department or providing community services that further the entity's mission).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-340-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

954-340-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-340-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-340-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

ⓘ **General Note:**The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-340-35-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Prepaid Costs

954-340-35-2 Prepaid costs, including amounts paid to physicians for future services (for example, administering a hospital department or providing community services that further the entity's mission), if deferred, shall be amortized over the period benefited.

45 Other Presentation Matters

ⓘ **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-340-45-1 Prepaid expenses, deposits, deferred expenses, and prepaid costs shall be classified as current or noncurrent as appropriate.

954 Health Care Entities

360 Property, Plant, and Equipment

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-360-05-1 This Subtopic provides guidance on the presentation of property held for investment purposes for health care entities within the scope of this Topic.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

45 Other Presentation Matters

ⓘ **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-360-45-1 Property held for investment purposes shall be presented as part of investments.

954 Health Care Entities

405 Liabilities

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
954-405-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-405-25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-405-25-5	Amended	Accounting Standards Update No. 2024-02	03/29/2024

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-405-05-1 This Subtopic provides guidance on liabilities for health care entities within the scope of this Topic.

954-405-05-2 Contracts between a health care provider and a payor based on anything other than full charges require the provider to accept some financial risk. The nature and degree of risk for the provider varies depending on the contract terms (for example, the definition of the unit of service or the basis for payment).

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

ⓘ **General Note for Financial Instruments:**Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Prepaid Health Care Services

Any form of health care service provided to a member in exchange for a scheduled payment (or payments) established before care is provided, regardless of the level of service subsequently provided.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Health Care Contracting

954-405-25-1 If a capitation contract obligates the provider to assume the risk of physician referrals and other outside services, a liability for unpaid claims, including incurred but not reported claims, shall be established. A lag analysis may be helpful in estimating the liability.

> Prepaid Health Care Services

954-405-25-2 Health care costs shall be accrued as services are rendered, including estimates of the costs of services rendered but not yet reported. Furthermore, if a provider of prepaid health care services is obligated to render services to specific members beyond the premium period due to provisions in the contract or regulatory requirements, the costs of such services to be incurred also shall be accrued currently. Costs that will be incurred after a contract is terminated, such as guaranteed salaries, rent, and depreciation, net of any anticipated revenues, shall be accrued when it is determined that a contract with a sponsoring employer or other group will be terminated. Amounts payable to hospitals, physicians, or other health care providers under risk-retention, bonus, or similar programs shall be accrued during the contract period based on relevant factors, such as experience to date.

954-405-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Medicare Settlement Agreements

954-405-25-4 A number of health care entities have entered into settlement agreements with the U.S. government regarding allegations of Medicare fraud. In addition to the promise to pay specified penalties to the U.S. government, the settlement agreements impose an obligation on the health care entity to engage an independent review entity to test and report on compliance with Medicare requirements each year for the following five years.

954-405-25-5 The settlement agreement represents a promise by a health care entity to perform future compliance audits and a duty or responsibility on which others are justified in relying is created by that promise. However, that promise creates a present duty or responsibility only if an obligating event has already occurred (the third characteristic of a liability; see paragraph 6 of FASB Concepts Statement No. 6, Elements of Financial Statements) that leaves the health care entity with little or no discretion to avoid the future transfer or use of assets. The obligating event for the costs of the future compliance audits is not entering into the agreement. Therefore, the entity shall not recognize a liability for the future Medicare compliance audits on the date the settlement is agreed to.

PENDING CONTENT

Transition Date: (P) December 16, 2024; (N) December 16, 2025 | **Transition Guidance:** 105-10-65-9

The settlement agreement represents a promise by a health care entity to perform future compliance audits and a duty or responsibility on which others are justified in relying is created by that promise. However, that promise creates a present duty or responsibility only if an obligating event has already occurred that leaves the health care entity with little or no discretion to avoid the future transfer or use of assets. The obligating event for the costs of the future compliance audits is not entering into the agreement. Therefore, the entity shall not recognize a liability for the future Medicare compliance audits on the date the settlement is agreed to.

30 Initial Measurement

ⓘ **General Note**:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

954-405-30-1 Section not used.

50 Disclosure

ⓘ **General Note**:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-405-50-1 With regard to contractual adjustments and third-party settlements, identification and explanation of the estimated amounts that are payable by the entity shall be disclosed.

954-405-50-2 For providers of prepaid health care services, the basis for accruing health care costs and significant business and contractual arrangements with hospitals, physicians, or other associated entities shall be disclosed in the notes to financial statements.

954 Health Care Entities

430 Deferred Revenue

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-430-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Conduit Debt Security	Added	Maintenance Update 2014-20	09/29/2014
Nonpublic Entity (1st Def.)	Amended	Maintenance Update 2014-20	09/29/2014
Nonpublic Entity	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-25-1 through 25-1B	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-25-1	Amended	Accounting Standards Update No. 2012-01	07/24/2012
954-430-25-1A	Added	Accounting Standards Update No. 2012-01	07/24/2012
954-430-25-1B	Added	Accounting Standards Update No. 2012-01	07/24/2012
954-430-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-35-1 through 35-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-35-4	Amended	Accounting Standards Update No. 2012-01	07/24/2012
954-430-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-45-1	Added	Accounting Standards Update No. 2012-04	10/01/2012
954-430-50-1 through 50-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-50-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-430-55-1 through 55-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-430-65-1	Added	Accounting Standards Update No. 2012-01	07/24/2012

05 Overview and Background

ⓘ **General Note**:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-430-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

954-430-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Conduit Debt Securities

Certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan agreement with the third party on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

Nonpublic Entity

Any entity that does not meet any of the following conditions:

a. Its debt or equity securities trade in a public market either on a stock exchange (domestic or foreign) or in an over-the-counter market, including securities quoted only locally or regionally.

b. It is a conduit bond obligor for conduit debt securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).

c. It files with a regulatory agency in preparation for the sale of any class of debt or equity securities in a public market.

d. It is required to file or furnish financial statements with the Securities and Exchange Commission.

e. It is controlled by an entity covered by criteria (a) through (d).

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

954-430-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-25-1A Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-25-1B Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

954-430-30-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-430-35-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-35-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-35-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-35-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-35-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

40 Derecognition

General Note:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

954-430-40-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-430-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-430-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-50-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-50-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-50-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

954-430-55-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-55-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-430-55-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

65 Transition and Open Effective Date Information

General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

954-430-65-1 Paragraph superseded on 06/26/2015 after the end of the transition period stated in Accounting Standards Update No. 2012-01, *Health Care Entities (Topic 954): Continuing Care Retirement Communities—Refundable Advance Fees*.

954 Health Care Entities
440 Commitments

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-440-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Contract Liability	Added	Accounting Standards Update No. 2014-09	05/28/2014
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
954-440-05-3 through 05-10	Added	Accounting Standards Update No. 2014-09	05/28/2014
954-440-35-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-440-55-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-440-55-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-440-05-1 This Subtopic provides guidance on commitments for health care entities within the scope of this Topic.

> Continuing Care Retirement Community

954-440-05-2 A continuing care retirement community expects to provide services and the use of facilities to individuals over their remaining lives under continuing-care contract agreements. The nature and extent of such services depend on such variables as the individual's age, health, sex, and economic status upon entering the continuing care retirement community.

> Continuing Care Retirement Community

954-440-05-3 Continuing care retirement community facilities may be independent or they may be affiliated with other health care facilities. They usually provide less intensive care than do hospitals. They generally supply required continuous nursing service or appropriate assistance to residents who have a wide range of medical conditions and needs.

· > Types of Contracts

954-440-05-4 Continuing care retirement communities use the following three basic types of contracts:

a. An all-inclusive continuing-care contract includes residential facilities, meals, and other amenities. It also provides long-term nursing care for little or no increase in periodic fees, except to cover normal operating costs and inflation.

b. A modified continuing-care contract also includes residential facilities, meals, and other amenities. However, only a specified amount of long-term nursing care is provided for little or no increase in periodic fees, except to cover normal operating costs and inflation. After the specified amount of nursing care is used, residents pay either a discounted rate or the full per diem rates for required nursing care.

c. A fee-for-service continuing-care contract includes residential facilities, meals, and other amenities as well as emergency and infirmary nursing care. Access to long-term nursing care is guaranteed, but it may be required at full per diem rates.

954-440-05-5 Many continuing-care contracts are similar to annuity contracts. Under those contracts, the continuing care retirement community assumes the risks associated with both of the following:

a. Estimating the amount of the advance fee and other fees to be paid by a resident

b. Determining whether such fees will be sufficient to cover the cost of providing a resident's required services and the use of facilities.

For some contracts, residents may share the future costs without limit. The continuing care retirement community has an obligation to provide future services for the length of the contract or the life of the resident. In certain circumstances, this obligation continues regardless of whether advance fees or periodic fees are sufficient to meet the costs of providing services to a resident.

· > Fee and Payment Methods

954-440-05-6 A continuing care retirement community may require several different payment methods for services and the use of facilities. The following are the three most prevalent methods:

a. Advance fee only. Under this method, a resident pays an advance fee in return for future services and the use of facilities. Such services generally include continuing care retirement community housing-related services (for example, meals, laundry, housekeeping, and social services) and health care. These services usually are provided to the resident for the remainder of his or her life or until the contract is terminated. Additional periodic fees are not paid, regardless of how long a resident lives or if the resident requires more services than anticipated. Generally, the resident receives no ownership interest in the facility.

b. Advance fee with periodic fees. Under this method, a resident pays an advance fee and periodic fees for services and the use of facilities. Such periodic fees may be fixed, or they may be subject to adjustment for increases in operating costs or inflation or for other economic reasons.

c. Periodic fees only. Under this method, a resident pays a fee at periodic intervals for services and the use of the facilities provided by the continuing care retirement community. Such fees may be either fixed or adjustable.

954-440-05-7 An advance fee may be met by transferring a resident's personal assets (which may include rights to future income) or by paying a lump sum of cash to the continuing care retirement community. Advance fees received for future services may be refunded at the occurrence of some future event, such as death, withdrawal from the continuing care retirement community, termination of the contract, or reoccupancy of a residential unit. The amount of the refund generally is based on contractual provisions or statutory requirements.

· > Refundable Advance Fees

954-440-05-8 Payment of an advance fee generally is required before a resident acquires a right to reside in an apartment or residential unit for life. A portion of advance fees may be refundable by rescission within a legally set time period or if a certain future event occurs, such as the death or withdrawal of a resident or termination of the contract. Some refunds are paid only if a residential unit is reoccupied.

· · > Refund Policies

954-440-05-9 Continuing care retirement community refund policies vary either by region or according to statutory requirements, but generally the amount of the refund is based on provisions specified in a contract. For example, some contracts require a refund of the advance fee, less a reasonable processing fee. Amounts refunded may be based on a fixed amount or percentage, an amount that declines to a fixed amount over time, an amount that declines to zero, or an amount based on the resale amount. Refunds may be contingent on vacating the unit, resale of the unit, or passage of a fixed period of time if the unit is not resold.

· · > Fees Refundable to Residents Only from Reoccupancy Proceeds of a Contract Holder's Unit

954-440-05-10 Some contracts between a continuing care retirement community and a resident stipulate that all or a portion of the advance fee may be refundable if the contract holder's unit is reoccupied by another person. The source of money for the payment is from the proceeds of the advance fees collected by the continuing care retirement community from the next resident of the reoccupied unit. The terms governing how the proceeds from the next resident are to be paid to the previous resident vary from contract to contract.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-440-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contract Liability

An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Continuing Care Retirement Community

954-440-25-1 The continuing care retirement community assumes a risk in estimating the cost of future services and the use of facilities. Although many continuing care retirement communities are allowed contractually to increase periodic fees, some contracts may restrict increases in periodic fees and require continuing services without additional compensation.

954-440-25-2 Paragraph 954-440-35-1 requires that the obligation of a continuing care retirement community to provide future services and the use of facilities to current residents be calculated annually to determine whether a liability shall be recognized in the financial statements.

954-440-25-3 See Example 1 (paragraph 954-440-55-1) for an illustration of this guidance.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Continuing Care Retirement Community

954-440-35-1 The obligation of a continuing care retirement community to provide future services and the use of facilities to current residents shall be subsequently measured annually in order to determine whether a liability shall be reported in the financial statements.

954-440-35-2 If the advance fees and periodic fees charged are insufficient to meet the costs of providing future services and the use of facilities, the continuing care retirement community shall record a liability based on actuarial assumptions (such as mortality and morbidity rates), on estimates of future costs and revenues, and on the specific continuing care retirement community's historical experience and statistical data. The liability is equal to the amount that is expected to be incurred to provide services and the use of facilities to individuals over their remaining lives under continuing care contracts (including resident-care, dietary, health care, facility, interest, depreciation, and amortization costs) in excess of the related anticipated revenues.

954-440-35-3 The liability related to continuing-care contracts shall be the present value of future net cash flows, minus the balance of deferred revenue (contract liability) (see Topic 606), plus depreciation of facilities to be charged related to the contracts, plus any unamortized incremental costs of obtaining a contract (see Subtopic 340-40), if applicable. The calculation shall be made by grouping contracts by type, such as all contracts with a limit on annual increases in fees, contracts with unlimited fee increases, and so forth. Cash inflows shall include revenue contractually committed to support the residents and inflows resulting from monthly fees including anticipated increases in accordance with contract terms. This shall include third-party payments, contractually or statutorily committed investment income from services related to continuing care retirement community activities, contributions pledged by donors to support continuing care retirement community activities, and the volume of deferred nonrefundable advance fees. Cash outflows shall be composed of operating expenses, including interest expense and excluding selling, and general and administrative expenses. Anticipated cost increases affecting these operating expenses shall be considered in determining cash outflows. The expected inflation rate as well as other factors shall be considered in determining the discount rate. In calculating the liability, the specific continuing care retirement community's historical experience or statistical data relating to the residents' life spans shall be used. The life spans used shall be the same as those used to recognize revenue. For a new continuing care retirement community, either relevant data of similar communities in the area or relevant national industry statistics may be used if they are deemed to be representative.

954-440-35-4 See Example 1 (paragraph 954-440-55-1) for an illustration of this guidance.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Continuing Care Retirement Community

954-440-50-1 A continuing care retirement community shall disclose all of the following in its notes to the financial statements for each year presented:

a. A description of the continuing care retirement community and the nature of the related continuing-care contracts entered into by the continuing care retirement community

b. The carrying amount of the liability to provide future services and the use of facilities related to continuing-care contracts that is presented at present value in the financial statements (if not separately disclosed in the balance sheet)

c. The interest rate used to discount that liability to provide future services

d. The statutory escrow or similar requirements

e. The refund policy of the continuing care retirement community and the general amount of refund obligation under the existing contracts.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Continuing Care Retirement Community—Accounting for the Obligation to Provide Services and the Use of Facilities to Current Residents

954-440-55-1 This Example illustrates the guidance in Sections 954-440-25 and 954-440-35. This Example has the following assumptions:

a. All residents pay a $ 50,000 fee, which is refundable less 2 percent per month for the first 36 months. After that period, none of the fee is refundable. The continuing care retirement community opened on 1/1/X4.

b. An additional periodic fee of $1,000 is payable monthly with a 5 percent increase annually.

c. The asset recognized for the incremental cost of obtaining the contract on 12/31/X6 is assumed to be $17,000.

d. The deferred revenue (contract liability) on 12/31/X6 is assumed to be $27,027.

954-440-55-2 The following tables illustrate the present value of net cash flow on 12/31/X6.

Resident	Estimated Remaining Life (in Months) on 12/31/X6	Estimated Cash Inflows 19X7	19X8	19X9	20X0
A	36	$ 12,000	$ 12,600	$ 13,230	-
B	22	12,000	10,500	-	-
C	27	12,000	12,600	3,308	-
D	38	12,000	12,600	13,230	$ 2,315
Estimated cash inflows		$ 48,000	$ 48,300	$ 29,768	$ 2,315

Resident	Estimated Remaining Life (in Months) on 12/31/X6	Estimated Cash Outflows 19X7	19X8	19X9	20X0
A	36	$ 10,000	$ 12,000	$ 15,000	-
B	22	15,000	11,000	-	-
C	27	14,000	17,000	5,000	-
D	38	8,000	12,000	14,000	$ 4,000
Estimated cash outflows		$ 47,000	$ 52,000	$ 34,000	$ 4,000

Recapitulation	19X7	19X8	19X9	20X0
Cash inflows	$ 48,000	$ 48,300	$ 29,768	$ 2,315
Cash outflows	(47,000)	(52,000)	(34,000)	(4,000)
	$ 1,000	$ (3,700)	$ (4,232)	$ (1,685)
Present value of net cash flows discounted at 10 percent				$ (7,137)

954-440-55-3 The following tables illustrate the depreciation of facilities to be charged to current residents.

Original cost of facility	$ 17,000,000
Cost of facility allocable to revenue-producing service areas	$ (2,000,000)
Cost of facility to be allocated to residents (including common areas)	$ 15,000,000
Useful life	40 years
Annual depreciation using straight-line method	$ 375,000
Number of residents expected to occupy the facility	200
Annual depreciation per resident	$ 1,875
Monthly depreciation per resident	$ 156

Resident	Estimated Remaining Life (in Months) on 12/31/X6	19X7	19X8	19X9	20X0
A	36	$ 1,875	$ 1,875	$ 1,875	-
B	22	1,875	1,560	-	-
C	27	1,875	1,875	468	-
D	38	1,875	1,875	1,875	$ 312
Yearly estimated depreciation of facilities to be charged to current residents		$ 7,500	$ 7,185	$ 4,218	$ 312
Total estimated depreciation of the use of facilities to be charged to the current residents					$19,215

954-440-55-4 The following table illustrates the liability for providing future services and the use of facilities to current residents.

Present value of future net cash outflows	$ 7,137
Minus:	
Deferred revenue (contract liability) on 12/31/X6	$ (27,027)
Plus:	
Depreciation to be charged to current residents	$ 19,215
Asset recognized for the incremental cost of obtaining the contract—see paragraph 954-440-55-1(c)	$ 17,000 [(a)]
Liability for providing future services and the use of facilities to current residents on 12/31/X6	$ 16,325

(a) These numbers are for illustrative purposes only and no inference has been made as to the recoverability of the $17,000.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

954-440-60-1 Section not used.

954 Health Care Entities

450 Contingencies

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-450-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Stop-Loss Insurance	Added	Accounting Standards Update No. 2014-06	03/14/2014
954-450-25-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
954-450-25-2	Amended	Accounting Standards Update No. 2010-24	08/27/2010
954-450-25-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-450-25-3	Amended	Accounting Standards Update No. 2010-24	08/27/2010
954-450-30-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-450-65-1	Added	Accounting Standards Update No. 2010-24	08/27/2010

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-450-05-1 This Subtopic provides guidance on accounting for contingencies for health care entities within the scope of this Topic.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-450-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Prepaid Health Care Services

Any form of health care service provided to a member in exchange for a scheduled payment (or payments) established before care is provided, regardless of the level of service subsequently provided.

Stop-Loss Insurance

A contract in which an entity agrees to indemnify providers for certain health care costs incurred by members.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

Related Proposed ASUs

954-450-25-1 Sometimes health care providers enter preferred provider arrangements with self-insured employers whereby the provider guarantees that the employer's health care cost will not increase over a specified amount or percentage. In substance, these providers may have provided aggregate stop-loss insurance to the self-insured employer, and a material liability to the provider may exist. Topic 450 provides guidance on accounting for these contingencies.

> Medical Malpractice Claims

954-450-25-2 The ultimate costs of malpractice claims or similar contingent liabilities, which include costs associated with litigating or settling claims, shall be accrued when the incidents that give rise to the claims occur. A health care entity shall evaluate its exposure to losses arising from claims and recognize a liability, if appropriate. The liability shall not be presented net of anticipated insurance recoveries. An entity that is indemnified for these liabilities shall recognize an insurance receivable at the same time that it recognizes the liability, measured on the same basis as the liability, subject to the need for a valuation allowance for uncollectible amounts. The provisions in Section 720-20-25 and Subtopic 944-40 discusses accounting for insurance claims costs, including estimates of costs relating to incurred-but-not-reported claims. Subtopic 450-20 discusses the accounting for loss contingencies.

954-450-25-2A Pursuant to paragraph 954-720-25-3, an accrual for malpractice losses shall be based on estimated ultimate losses and costs associated with settling claims. Accruals shall not be based on recommended funding amounts, which in addition to a provision for the actuarially determined liability also includes a provision for both of the following:

a. Credit for investment income

b. A margin for risk of adverse deviation.

954-450-25-2B The following are examples of factors to consider and adjustments that may be required to convert actuarially determined malpractice funding amounts to an appropriate loss accrual to be reported in the financial statements:

a. The risk of adverse deviation is an additional cost factor applied to bring a funding requirement to a selected confidence level. This factor does not meet the criteria for recognition as a liability in accordance with Topic 450.

b. An evaluation shall be made of the extent and validity of industry data when the credibility factor actuarial technique is used. The lower the credibility factor, the greater the blending of industry data. This may create an unacceptable level of industry data at lower confidence levels. Further, a low credibility factor may indicate that provider-specific data is not sufficient to support the claims liability estimation process.

c. A review of the discounting approach used is necessary to develop the required disclosure. The impact on the discounting calculation of any other adjustment made to the actuarially determined amounts (such as risk of adverse deviation or the credibility of the risk management system) has to be evaluated.

d. A review of the expenses included in the loss estimation process shall be made. Such expenses include the expense of settlement and litigation (that is, allocated loss adjustment expenses).

> Medical Malpractice Trust Funds

954-450-25-3 Estimated losses from asserted and unasserted claims shall be accrued and reported, as indicated in paragraphs 954-450-30-1 through 30-2. The estimated losses are not based on payments to the trust fund. See paragraph 954-720-25-5 for guidance concerning an entity that participates in a common trust fund and forfeits its rights to any excess funding. See also paragraph 954-810-45-4.

> Prepaid Health Care Services

954-450-25-4 A prepaid health care provider enters into contracts to provide members with specified health care services for specified periods in return for fixed periodic premiums. The premium revenue is expected to cover health care costs and other costs over the terms of the contracts. Only in unusual circumstances would a provider be able to increase premiums on contracts in force to cover expected losses. A provider may be able to control or reduce future health care delivery costs to avoid anticipated losses, but the ability to avoid losses under existing contracts may be difficult to measure or to demonstrate. Associated entities such as hospitals, medical groups, and individual practice associations may enter into similar contracts with prepaid health care providers in which they agree to deliver identified health care services to the providers' members for specified periods in return for fixed fees.

30 Initial Measurement

ⓘ **General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Medical Malpractice Claims

954-450-30-1 Estimated losses from asserted and unasserted medical malpractice claims shall be accrued either individually or on a group basis, based on the best estimates of the ultimate costs of the claims and the relationship of past reported incidents to eventual claims payments. All relevant information, including industry experience, the entity's own historical experience, the entity's existing asserted claims, and reported incidents, shall be used in estimating the expected amount of claims. The accrual includes an estimate of the losses that will result from unreported incidents, which are probable of having occurred before the end of the reporting period.

954-450-30-2 In estimating the probability that unreported incidents have occurred, some health care entities may develop a range of possible estimates of the number of unreported incidents, including zero. However, the greater the volume of a health care entity's operations, the greater the likelihood that the entity's minimum estimate of the number of probable unreported incidents will be greater than zero. In estimating losses from malpractice claims, a health care entity may need to modify data drawn from industry experience so it is relevant to developing an estimate that is specific to the entity. Various factors (such as the nature of operations, size, and the provider's past experience) shall be considered in assessing comparability. Further, industry data that are not current may not be relevant.

> Prepaid Health Care Services

954-450-30-3 The estimated future health care costs and maintenance costs to be considered in determining whether a loss has been incurred shall include fixed and variable, direct and allocable indirect costs.

954-450-30-4 Losses under prepaid health care services contracts shall be recognized when it is probable that expected future health care costs and maintenance costs under a group of existing contracts will exceed anticipated future premiums and stop-loss insurance recoveries on those contracts. To determine the need to recognize a loss, contracts shall be grouped in a manner consistent with the provider's method of establishing premium rates, for example, by community rating practices, geographical area, or statutory requirements, to determine whether a loss has been incurred.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Medical Malpractice Claims

954-450-35-1 Estimated losses are reviewed and changed, if necessary, at each reporting date. The amounts of the changes are recognized currently as additional expense or as a reduction of expense.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Medical Malpractice Insurance

954-450-50-1 Health care entities shall disclose their program of medical malpractice insurance coverages.

954-450-50-2 Health care entities that discount accrued malpractice claims shall disclose in the notes to the financial statements the carrying amount of accrued malpractice claims that are discounted in the financial statements and the interest rate or rates used to discount those claims.

65 Transition and Open Effective Date Information

General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

954-450-65-1 Paragraph superseded on 06/18/2012 after the end of the transition period stated in Accounting Standards Update No. 2010-24, *Health Care Entities (Topic 954): Presentation of Insurance Claims and Related Insurance Recoveries*.

954 Health Care Entities

460 Guarantees

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-460-05-1 This Subtopic provides guidance on accounting for guarantees for health care entities within the scope of this Topic.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-460-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Minimum Revenue Guarantees

954-460-55-1 See Topic 460 for guidance on minimum revenue guarantees, and see paragraph 460-10-55-11 for an example of a minimum revenue guarantee granted to a nonemployee physician by a not-for-profit business-oriented health care entity that has recruited a physician to move to the entity's geographical area to establish a practice.

954 Health Care Entities

470 Debt

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-470-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Advance Refunding	Added	Accounting Standards Update No. 2016-02	02/25/2016
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
954-470-25-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
954-470-40-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-470-05-1 This Subtopic provides guidance on accounting for debt for health care entities within the scope of this Topic.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-470-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Advance Refunding

A transaction involving the issuance of new debt to replace existing debt with the proceeds from the new debt placed in trust or otherwise restricted to retire the existing debt at a determinable future date or dates.

Conditional Contribution

A contribution that contains a donor-imposed condition.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Financing Authorities

954-470-25-1 When a financing authority issues tax-exempt bonds or similar debt instruments and uses the proceeds for the benefit of a health care entity, the obligation shall be reported as a liability in the entity's balance sheet if the health care entity is responsible for repayment. In some cases, this obligation may take the form of a liability arising from a lease. If a health care entity has no obligation to make payments of principal and interest on the debt or lease payments on related buildings or equipment, the entity shall not reflect the liability on its balance sheet. In such circumstances, proceeds from the bond issue shall be reported as contributions from the sponsoring entity.

> Arbitrage Rebate Liabilities

954-470-25-2 Internal Revenue Service (IRS) regulations concerning tax-exempt debt prohibit the yield realized from the investment of the proceeds of such debt from exceeding the interest rate to be paid on such debt. Whenever a provider invests tax-exempt bond proceeds and the ultimate yield is higher than the interest rate on the bonds, the provider may be subject to an arbitrage rebate liability. The arbitrage determination is made as of the date of the issue; however, intentional acts undertaken after the date of the issue can disqualify the issue retroactively. The earnings in excess of interest expense represent a liability that must be paid to the U.S. Treasury in order for the bonds to maintain their tax-exempt status. The arbitrage rebate liability may be a substantial amount if the bond proceeds are not spent as quickly as planned. For example, this may occur if a provider encounters a delay in a major construction project.

40 Derecognition

ⓘ **General Note:**The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

954-470-40-1 In a crossover refunding, because the old bonds are not defeased until the crossover date, no immediate gain or loss shall be recognized. If the retirement dates of the old debt have been established, the call premium, unamortized premium or discount, and initial issue costs shall be recognized systematically in the income statement over the remaining life of the old debt as an adjustment of the cost of borrowing related to the old debt. In addition, the income earned on the funds used to consummate the advance refunding and the interest expense on both the old and new debts shall be recognized in the income statement. The funds used to consummate the advance refunding shall be reported as an asset and both the old and new debts shall be reported as liabilities. The assets and liabilities shall not be offset.

954 Health Care Entities

605 Revenue Recognition

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

ⓘ **General Note on Health Care Entities—Revenue Recognition:**Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Capitation Fee	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
Conduit Debt Security	Added	Maintenance Update 2014-20	09/29/2014
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Diagnosis-Related Group	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
Nonpublic Entity (Def. 1)	Amended	Maintenance Update 2014-20	09/29/2014
Nonpublic Entity	Added	Accounting Standards Update No. 2011-07	07/25/2011
Prepaid Health Care Plan	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Promise to Give	Added	Accounting Standards Update No. 2018-08	06/21/2018
Prospective Rate Setting	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Public Entity	Amended	Maintenance Update 2014-20	09/29/2014
Public Entity	Added	Accounting Standards Update No. 2011-07	07/25/2011
Retrospective Rate Setting	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
954-605-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-605-05-2 through 05-14	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-05-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012

954-605-05-4	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-605-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
954-605-25-2 through 25-9	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-25-4	Amended	Accounting Standards Update No. 2011-07	07/25/2011
954-605-35-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-45-1 through 45-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-45-4	Added	Accounting Standards Update No. 2011-07	07/25/2011
954-605-45-5	Added	Accounting Standards Update No. 2011-07	07/25/2011
954-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-50-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-50-3	Amended	Accounting Standards Update No. 2010-23	08/26/2010
954-605-50-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-50-4	Added	Accounting Standards Update No. 2011-07	07/25/2011
954-605-55-1 through 55-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-605-55-1 through 55-4	Added	Accounting Standards Update No. 2011-07	07/25/2011
954-605-65-1	Added	Accounting Standards Update No. 2010-23	08/26/2010
954-605-65-2	Added	Accounting Standards Update No. 2011-07	07/25/2011

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General Note on Health Care Entities—Revenue Recognition:Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-05-1 Topic 606 on revenue from contracts with customers provides guidance on revenue recognition for contracts with customers for health care entities within the scope of this Topic. This Subtopic provides recognition guidance for:

a. Charity care
b. Related fundraising entities.

954-605-05-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-12 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-13 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-05-14 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-605-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

Charity Care

Charity care represents health care services that are provided but are never expected to result in cash flows. Charity care is provided to a patient with demonstrated inability to pay. Each entity establishes its own criteria for charity care consistent with its mission statement and financial ability.

Conditional Contribution

A contribution that contains a donor-imposed condition.

Conduit Debt Securities

Certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan agreement with the third party on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Contribution

An unconditional transfer of cash or other assets, as well as unconditional promises to give, to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value

b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners

c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also Inherent Contribution and Conditional Contribution.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Nonpublic Entity

Any entity that does not meet any of the following conditions:

a. Its debt or equity securities trade in a public market either on a stock exchange (domestic or foreign) or in an over-the-counter market, including securities quoted only locally or regionally.

b. It is a conduit bond obligor for conduit debt securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).

c. It files with a regulatory agency in preparation for the sale of any class of debt or equity securities in a public market.

d. It is required to file or furnish financial statements with the Securities and Exchange Commission.

e. It is controlled by an entity covered by criteria (a) through (d).

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Public Entity

A business entity or a not-for-profit entity that meets any of the following conditions:

a. It has issued debt or equity securities or is a conduit bond obligor for conduit debt securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).

b. It is required to file financial statements with the Securities and Exchange Commission (SEC).

c. It provides financial statements for the purpose of issuing any class of securities in a public market.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Unconditional Promise to Give

A promise to give that depends only on passage of time or demand by the promisee for performance.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

954-605-25-1 This Section provides recognition guidance for the following:

a. Subparagraph superseded by Accounting Standards Update No. 2014-09.

b. Subparagraph superseded by Accounting Standards Update No. 2014-09.

c. Charity care

d. Related fundraising entities.

954-605-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-25-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Charity Care

954-605-25-10 Charity care does not qualify for recognition as revenue in the financial statements. Distinguishing charity care from bad-debt expense requires the exercise of judgment. Only the portion of a patient's account that meets the entity's charity care criteria shall be recognized as charity.

954-605-25-11 Although it is not necessary for the entity to make this determination on admission or registration of an individual, at some point the entity must determine that the individual meets the established criteria for charity care.

> Related Fundraising Entities

954-605-25-12 Distributions from a financially interrelated recipient entity to a nongovernmental health care entity that it supports shall generally be reported by the health care entity as a reduction of its interest in the recipient entity. However, if the distribution is made from net assets that are not includable in that interest because the health care entity does not have rights to them (that is, the recipient entity can determine to whom the assets will be distributed), the health care entity shall report a contribution from the related recipient entity. See Example 2 in paragraphs 958-20-55-8 through 55-13 for an illustration of a health care foundation and the affiliated entities that it supports.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-35-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-40-1 Section not used.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-45-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-45-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-45-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-45-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General Note on Health Care Entities—Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-50-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Charity Care

954-605-50-3 Management's policy for providing charity care, as well as the level of charity care provided, shall be disclosed in the financial statements. Such disclosure shall be measured based on the provider's direct and indirect costs of providing charity care services. If costs cannot be specifically attributed to services provided to charity care patients (for example, based on a cost accounting system), management may estimate the costs of those services using reasonable techniques. For example, one such estimation technique might involve calculating a ratio of cost to gross charges, and then multiplying that ratio by the gross uncompensated charges associated with providing care to charity patients. Other reasonable techniques also are permitted. The method used to identify or estimate such costs shall be disclosed. Funds received to offset or subsidize charity services provided, for example, from gifts or grants restricted for charity care or from an uncompensated care fund, also shall be separately disclosed.

954-605-50-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General Note on Health Care Entities—Revenue Recognition:Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-55-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-55-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-55-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-605-55-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

65 Transition and Open Effective Date Information

General Note:The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General Note on Health Care Entities—Revenue Recognition:Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Health Care Entities—Revenue Recognition—Charity Care and Related Fundraising Entities.

General

954-605-65-1 Paragraph superseded on 06/18/2012 after the end of the transition period stated in Accounting Standards Update No. 2010-23, *Health Care Entities (Topic 954): Measuring Charity Care for Disclosure*.

954-605-65-2 Paragraph superseded on 06/17/2013 after the end of the transition period stated in Accounting Standards Update No. 2011-07, *Health Care Entities (Topic 954): Presentation and Disclosure of Patient Service Revenue, Provision for Bad Debts, and the Allowance for Doubtful Accounts for Certain Health Care Entities*.

954 Health Care Entities

720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-720-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Prepaid Health Care Services	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Stop-Loss Insurance	Added	Accounting Standards Update No. 2014-06	03/14/2014
954-720-05-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
954-720-25-1	Amended	Accounting Standards Update No. 2010-24	08/27/2010
954-720-25-5	Amended	Accounting Standards Update No. 2010-24	08/27/2010
954-720-25-6	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-720-25-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
954-720-30-1 through 30-3	Superseded	Accounting Standards Update No. 2010-24	08/27/2010
954-720-35-3	Superseded	Accounting Standards Update No. 2010-24	08/27/2010
954-720-45-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014

954-720-50-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012
954-720-50-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-720-05-1 This Subtopic provides guidance on accounting for other expenses for health care entities within the scope of this Topic.

> Prepaid Health Care Services

954-720-05-2 Many prepaid health care providers incur costs that vary with, and are primarily related to, the marketing of subscriber contracts and member enrollment. These costs, sometimes referred to as acquisition costs, consist mainly of commissions paid to agents or brokers and incentive compensation based on new enrollments. Commissions and incentive compensation may be paid when the contracts are written, at later dates, or over the terms of the contracts as premiums are received. Some providers incur additional costs directly related to the acquisition of specific contracts, such as the costs of specialized brochures, marketing, and advertising. Providers also incur costs that are related to the acquisition of new members but that do not relate to specific contracts and are not considered acquisition costs. These costs include salaries of the marketing director and staff, general marketing brochures, and general advertising and promotion expenses.

> Stop-Loss Insurance

954-720-05-3 In stop-loss insurance, prepaid health care providers or associated entities transfer portions of their financial risks to other entities. A provider typically contracts to recover health care costs in excess of stated amounts during the contract periods.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

20 Glossary

ⓘ **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Stop-Loss Insurance

A contract in which an entity agrees to indemnify providers for certain health care costs incurred by members.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

Related Proposed ASUs

> Retrospectively Rated Premiums

954-720-25-1 A health care entity with a retrospectively rated insurance policy whose ultimate premium is based primarily on the health care entity's loss experience shall account for the minimum premium as an expense over the period of coverage under the policy. Insurance recoveries from a retrospectively rated insurance policy whose ultimate premium is based primarily on the health care entity's loss experience shall not be recognized until the estimated losses exceed the stipulated maximum premium.

954-720-25-2 A health care entity insured under a retrospectively rated policy whose ultimate premium is based primarily on the experience of a group of health care entities shall accrue additional premiums or refunds on the basis of the group's experience to date, which includes a provision for the ultimate cost of asserted and unasserted claims before the financial statement date, whether reported or unreported.

> Malpractice Losses

954-720-25-3 An accrual for malpractice losses shall be based on estimated ultimate losses and costs associated with settling claims. See paragraphs 954-450-25-2 through 2A for factors to consider when determining the amount of the accrual.

954-720-25-4 Paragraph not used.

> Claims-Made Insurance Policies

954-720-25-4A The Claims Made Contract Subsections of Subtopic 720-20 apply if a health care entity purchases a claims-made insurance policy. As discussed in paragraph 720-20-25-14, insured entities (except as discussed in Section 944-20-15), including those that use a claims-made approach for insuring certain risks, recognize a liability for the probable losses from incurred but not reported claims and incidents if the loss is both probable and reasonably estimable. Consequently, a health care entity that is insured under a claims-made insurance policy recognizes the estimated cost of claims and incidents not reported to the insurance carrier, in accordance with Subtopic 954-450.

> Trust Funds

954-720-25-5 An entity that participates in a common trust fund and forfeits its rights to any excess funding shall expense its contributions and account for its participation in the trust fund based on the type of coverage obtained (for example, occurrence basis, claims-made, or retrospectively rated).

954-720-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

954-720-25-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

954-720-30-1 Paragraphs 954-720-30-1 through 30-3 superseded by Accounting Standards Update No. 2010-24.

35 Subsequent Measurement

General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Retrospectively Rated Premiums

954-720-35-1 A health care entity insured under a retrospectively rated policy whose ultimate premium is based primarily on the experience of a group of health care entities amortizes the initial premium to expense on a pro rata basis over the policy term.

> Medical Malpractice Claims Insured by Captive Insurance Entities

954-720-35-2 A health care entity insured by an unconsolidated multiprovider captive insurance entity for medical malpractice claims under a retrospectively rated policy based primarily on the experience of a group of health care entities shall account for such insurance as indicated in paragraph 954-720-25-2. However, the health care entity shall consider whether the economic substance of the multiprovider captive insurance entity is sufficient to relieve the health care entity from further liability.

954-720-35-3 Paragraph superseded by Accounting Standards Update No. 2010-24.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Prepaid Health Care Services—Stop-Loss Insurance

954-720-45-1 Stop-loss insurance premiums shall be included in reported health care costs. Stop-loss insurance recoveries shall be reported as reductions of related health care costs.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Retrospectively Rated Premiums

954-720-50-1 A health care entity insured under a retrospectively rated policy whose ultimate premium is based primarily on the experience of a group of health care entities shall disclose both of the following:

a. It is insured under a retrospectively rated policy.

b. Premiums are accrued based on the ultimate cost of the experience to date of a group of entities.

> Medical Malpractice Claims Insured by Captive Insurance Entities

954-720-50-2 The health care entity shall disclose both of the following:

a. It is insured under a retrospectively rated policy of a multiprovider captive insurance entity.
b. The premiums are accrued based on the captive insurance entity's experience to date.

954-720-50-3 A health care entity that is insured by a multiprovider captive insurance entity shall disclose in its financial statements:
a. That it is insured by such an entity
b. Its ownership percentage in the captive entity
c. The method of accounting for its investment in, and the operations of, the captive entity.

> Prepaid Health Care Services—Stop-Loss Insurance

954-720-50-4 The nature, amounts, and effects of significant stop-loss insurance contracts shall be disclosed.

954 Health Care Entities
740 Income Taxes

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-740-05-1 This Subtopic provides guidance on disclosures for income tax status for not-for-profit, business-oriented health care entities.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-740-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15, with specific entity qualifications noted below.

> Entities

954-740-15-2 The guidance in this Subtopic applies only to not-for-profit, business-oriented health care entities.

50 Disclosure

ⓘ **General Note**:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-740-50-1 Tax-exempt entities shall disclose their tax-exempt status.

954 Health Care Entities

805 Business Combinations

00 Status

ⓘ **General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-805-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Acquirer	Amended	Accounting Standards Update No. 2025-03	05/12/2025
Acquirer	Added	Accounting Standards Update No. 2010-07	01/28/2010
Acquisition Date	Added	Accounting Standards Update No. 2010-07	01/28/2010
Acquisition by a Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
Business	Added	Accounting Standards Update No. 2010-07	01/28/2010
Conduit Debt Security	Added	Maintenance Update 2014-20	09/29/2014
Control of a Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Inherent Contribution	Added	Accounting Standards Update No. 2010-07	01/28/2010
Merger Date	Added	Accounting Standards Update No. 2010-07	01/28/2010
Merger of Not-for-Profit Entities	Added	Accounting Standards Update No. 2010-07	01/28/2010
Nonprofit Activity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Performance Indicator	Added	Accounting Standards Update No. 2010-07	01/28/2010
Public Entity	Amended	Maintenance Update 2014-20	09/29/2014
Public Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Trading Securities	Added	Accounting Standards Update No. 2010-07	01/28/2010
Variable Interest Entity	Superseded	Accounting Standards Update No. 2025-03	05/12/2025
954-805-05-1	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-10-1	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-15-1 through 15-4	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-25-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016
954-805-25-1	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-35-1	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-45-1 through 45-3	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-45-2	Amended	Accounting Standards Update No. 2016-14	08/18/2016
954-805-50-1 through 50-3	Amended	Accounting Standards Update No. 2025-11	12/08/2025
954-805-50-1 through 50-3	Added	Accounting Standards Update No. 2010-07	01/28/2010
954-805-50-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-805-05-1 This Subtopic provides guidance on a transaction or other event in which a not-for-profit, business-oriented health care entity (see Section 954-10-05) that is the reporting entity combines with one or more other not-for-profit entities (NFPs), businesses, or nonprofit activities in a transaction that meets the definition of a merger of not-for-profit entities or an acquisition by a not-for-profit entity.

10 Objectives

ⓘ **General Note:**The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

954-805-10-1 The objective of this Subtopic, in combination with the guidance in Subtopic 958-805, is to improve the relevance, representational faithfulness, and comparability of the information that a not-for-profit, business-oriented health care entity provides in its financial reports about a combination with one or more other not-for-profit entities (NFPs), businesses, or nonprofit activities.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-805-15-1 This Subtopic follows the same scope and scope exceptions as the Overall Subtopic, see Section 954-10-15, with the following exceptions noted below.

> Entities

954-805-15-2 The guidance in this Subtopic applies only to not-for-profit, business-oriented health care entities (see Section 954-10-05).

> Transactions

954-805-15-3 The guidance in this Subtopic applies to a transaction or other event that meets the definition of either of the following:

a. A merger of not-for-profit entities
b. An acquisition by a not-for-profit entity.

954-805-15-4 This Subtopic does not apply to any of the following:

a. The formation of a joint venture
b. The acquisition of an asset or a group of assets that does not constitute either a business or a nonprofit activity. (Subtopic 805-50 addresses the typical accounting for an asset acquisition.)
c. A combination between not-for-profit entities (NFPs), businesses, or nonprofit activities under common control. (Subtopic 805-50 addresses the typical accounting for a transfer of assets or an exchange of shares between entities under common control.)
d. A transaction or other event in which an NFP obtains control of a not-for-profit entity but does not consolidate that entity, as permitted or required by Section 958-810-25. Similarly, this Subtopic does not apply if an NFP that obtained control in a transaction or other event in which consolidation was permitted but not required decides in a subsequent annual reporting period to begin consolidating a controlled entity that it initially chose not to consolidate.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Acquiree

The business or businesses that the acquirer obtains control of in a business combination. This term also includes a nonprofit activity or business that a not-for-profit acquirer obtains control of in an acquisition by a not-for-profit entity.

Acquirer

The entity that obtains control of the acquiree. However, in a business combination in which a variable interest entity (VIE) is acquired, the primary beneficiary of that entity always is the acquirer.

PENDING CONTENT

Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** 805-10-65-5

The entity that obtains control of the acquiree. See paragraphs 805-10-25-4 through 25-5 for guidance on determining the acquirer.

Acquisition by a Not-for-Profit Entity

A transaction or other event in which a not-for-profit acquirer obtains control of one or more nonprofit activities or businesses and initially recognizes their assets and liabilities in the acquirer's financial statements. When applicable guidance in Topic 805 is applied by a not-for-profit entity, the term business combination has the same meaning as this term has for a for-profit entity. Likewise, a reference to business combinations in guidance that links to Topic 805 has the same meaning as a reference to acquisitions by not-for-profit entities.

Acquisition Date

The date on which the acquirer obtains control of the acquiree.

Business

Paragraphs 805-10-55-3A through 55-6 and 805-10-55-8 through 55-9 define what is considered a business.

Business Combination

A transaction or other event in which an acquirer obtains control of one or more businesses. Transactions sometimes referred to as true mergers or mergers of equals also are business combinations. See also Acquisition by a Not-for-Profit Entity.

Conduit Debt Securities

Certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan agreement with the third party on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

Control

The direct or indirect ability to determine the direction of management and policies through ownership, contract, or otherwise.

Control of a Not-for-Profit Entity

See Control.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Legal Entity

Any legal structure used to conduct activities or to hold assets. Some examples of such structures are corporations, partnerships, limited liability companies, grantor trusts, and other trusts.

Merger Date

The date on which the merger becomes effective.

Merger of Not-for-Profit Entities

A transaction or other event in which the governing bodies of two or more not-for-profit entities cede control of those entities to create a new not-for-profit entity.

Nonprofit Activity

An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing benefits, other than goods or services at a profit or profit equivalent, as a fulfillment of an entity's purpose or mission (for example, goods or services to beneficiaries, customers, or members). As with a not-for-profit entity, a nonprofit activity possesses characteristics that distinguish it from a business or a for-profit business entity.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return

b. Operating purposes other than to provide goods or services at a profit

c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

a. All investor-owned entities

b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Performance Indicator

A performance indicator reports results of operations. A performance indicator and the income from continuing operations reported by for-profit health care entities generally are consistent, except for transactions that clearly are not applicable to one kind of entity (for example, for-profit health care entities typically would not receive contributions, and not-for-profit health care entities would not award stock compensation). That is, a performance indicator is analogous to income from continuing operations of a for-profit entity.

Public Entity

A business entity or a not-for-profit entity that meets any of the following conditions:

a. It has issued debt or equity securities or is a conduit bond obligor for conduit debt securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).

b. It is required to file financial statements with the Securities and Exchange Commission (SEC).

c. It provides financial statements for the purpose of issuing any class of securities in a public market.

Trading Securities

Securities that are bought and held principally for the purpose of selling them in the near term and therefore held for only a short period of time. Trading generally reflects active and frequent buying and selling, and trading securities are generally used with the objective of generating profits on short-term differences in price.

Variable Interest Entity

A legal entity subject to consolidation according to the provisions of the Variable Interest Entities Subsections of Subtopic 810-10.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

954-805-25-1 When applying the guidance in paragraph 805-20-25-6, an acquirer that is a not-for-profit, business-oriented health care entity shall classify particular investments in debt securities as trading securities or other than trading securities.

35 Subsequent Measurement

ⓘ **General Note:**The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

954-805-35-1 An acquirer that is a not-for-profit, business-oriented health care entity shall report the changes in the fair value of contingent consideration recognized in accordance with paragraph 958-805-35-3 within the performance indicator unless the arrangement is a hedging instrument for which Subtopic 954-815 requires the entity to recognize the changes outside the performance indicator.

45 Other Presentation Matters

ⓘ **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-805-45-1 If an acquirer is a not-for-profit, business-oriented health care entity and a separate charge is recognized in accordance with paragraph 958-805-25-29, it shall be presented within the performance indicator.

954-805-45-2 If an acquirer is a not-for-profit, business-oriented health care entity, whether the inherent contribution received recognized in accordance with paragraph 958-805-25-31 is presented within or outside of the performance indicator depends on whether the contribution is without donor restrictions or with donor restrictions. A contribution without donor restrictions shall be presented within the performance indicator. A contribution with donor restrictions shall be presented outside of the performance indicator.

954-805-45-3 In an acquisition achieved in stages (see paragraphs 805-10-25-9 through 25-10), an acquirer that is a not-for-profit, business-oriented health care entity shall include in its performance indicator the gain or loss resulting from remeasuring its previously held equity interest in the acquiree. In prior reporting periods, that acquirer may have recognized changes in the value of its equity interest in the acquiree outside the performance indicator (for example, because the investment was classified as other than trading). If so, the amount that was recognized outside the performance indicator shall be reclassified and included in the calculation of gain or loss on the previously held equity interest as of the acquisition date.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-805-50-1 For a merger of not-for-profit entities, a new entity that is both a not-for-profit, business-oriented health care entity and a public entity shall disclose the performance indicator for the current reporting period as though the merger date had been the beginning of the annual reporting period (supplemental pro forma information).

PENDING CONTENT

Transition Date: (P) December 16, 2027; (N) December 16, 2028 | **Transition Guidance:** 270-10-65-1

For a merger of not-for-profit entities, a new entity that is both a not-for-profit, business-oriented health care entity and a public entity shall disclose in interim and annual reporting periods the performance indicator for the current reporting period as though the merger date had been the beginning of the annual reporting period (supplemental pro forma information).

954-805-50-2 For an acquisition by a not-for-profit entity, a not-for-profit, business-oriented health care entity that is a public entity shall disclose all of the following:

a. The performance indicator attributable to the acquiree since the acquisition date that is included in the statement of activities for the reporting period.

b. The performance indicator as though the acquisition date for all acquisitions that occurred during the current year had occurred the beginning of the annual reporting period (supplemental pro forma information).

c. If the acquirer presents comparative financial statements, the performance indicator as though the acquisition date for all acquisitions that occurred during the current year had occurred as of the beginning of the comparable prior annual reporting period (supplemental pro forma information). For example, for a calendar year-end entity, disclosures would be provided for an acquisition by a not-for-profit entity that occurs in 20X2, as if it occurred on January 1, 20X1. Such disclosures would not be revised if 20X2 is presented for comparative purposes with the 20X3 financial statements (even if 20X2 is the earliest period presented).

d. The nature and amount of any material, nonrecurring pro forma adjustments directly attributable to the acquisition(s) included in the reported pro forma performance indicator (supplemental pro forma information).

PENDING CONTENT

Transition Date: (P) December 16, 2027; (N) December 16, 2028 | **Transition Guidance:** 270-10-65-1

For an acquisition by a not-for-profit entity, a not-for-profit, business-oriented health care entity that is a public entity shall disclose all of the following in interim and annual reporting periods:

a. The performance indicator attributable to the acquiree since the acquisition date that is included in the statement of activities for the reporting period.

b. The performance indicator as though the acquisition date for all acquisitions that occurred during the current year had occurred the beginning of the annual reporting period (supplemental pro forma information).

c. If the acquirer presents comparative financial statements, the performance indicator as though the acquisition date for all acquisitions that occurred during the current year had occurred as of the beginning of the comparable prior annual reporting period (supplemental pro forma information). For example, for a calendar year-end entity, disclosures would be provided for an acquisition by a not-for-profit entity that occurs in 20X2, as if it occurred on January 1, 20X1. Such disclosures would not be revised if 20X2 is presented for comparative purposes with the 20X3 financial statements (even if 20X2 is the earliest period presented).

d. The nature and amount of any material, nonrecurring pro forma adjustments directly attributable to the acquisition(s) included in the reported pro forma performance indicator (supplemental pro forma information).

954-805-50-3 If the disclosure of any of the information required by paragraph 954-805-50-2 or paragraph 954-805-50-1 is impracticable, a not-for-profit, business-oriented health care entity shall disclose that fact and explain why the disclosure is impracticable. The term *impracticable* has the same meaning as *impracticability* in paragraph 250-10-45-9.

PENDING CONTENT

Transition Date: (P) December 16, 2027; (N) December 16, 2028 | **Transition Guidance:** 270-10-65-1

If the disclosure of any of the information required by paragraph 954-805-50-2 or paragraph 954-805-50-1 is impracticable, a not-for-profit, business-oriented health care entity shall disclose in interim and annual reporting periods that fact and explain why the disclosure is impracticable. The term *impracticable* has the same meaning as *impracticability* in paragraph 250-10-45-9.

954 Health Care Entities
810 Consolidation

00 Status

ⓘ **General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-810-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Economic Interest	Amended	Accounting Standards Update No. 2016-14	08/18/2016
Legal Entity	Added	Accounting Standards Update No. 2017-02	01/12/2017
954-810-15-2	Amended	Accounting Standards Update No. 2015-02	02/18/2015
954-810-15-3	Amended	Accounting Standards Update No. 2025-12	12/17/2025
954-810-15-3	Amended	Accounting Standards Update No. 2017-02	01/12/2017
954-810-15-3	Amended	Accounting Standards Update No. 2015-02	02/18/2015
954-810-45-3B	Amended	Accounting Standards Update No. 2016-19	12/14/2016
954-810-45-3B	Amended	Accounting Standards Update No. 2010-08	02/02/2010
954-810-50-2	Added	Accounting Standards Update No. 2010-07	01/28/2010

05 Overview and Background

ⓘ **General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-810-05-1 This Subtopic addresses consolidation accounting for health care entities within the scope of this Topic.

954-810-05-2 An integrated health care system typically consists of multiple related entities, operating both for-profit entities and not-for-profit entities (NFPs). A not-for-profit parent entity may be the sole corporate member or, through other means, it may control other entities such as a not-for-profit hospital, a not-for-profit medical foundation that contracts with a for-profit physician group, or other not-for-profit providers such as a long-term care center, a substance abuse center, a surgery center, or an outpatient clinic. The system also may own stock in various for-profit ventures such as health maintenance organizations or insurance entities that may or may not provide patient care. Fundraising typically is accomplished through a separate foundation. Foundations, auxiliaries, guilds, and similar entities frequently assist and, in many instances, are related to the health care entity.

954-810-05-3 The rights and powers of the controlling entity may vary depending on the legal structure of the controlled entity and the nature of control. The majority owner of a for-profit entity's voting stock or the sole corporate member of an NFP may not only have the ability to determine the direction of the controlled entity but also have the proportionate right to (or the responsibility for) operating results and a residual interest in the net assets upon dissolution. However, in other situations, the rights of the controlling party may be more limited. For example, in the case of a sole general partner in a limited partnership, the limited partners—and not the general partner—may be entitled to the net assets upon dissolution.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15.

> Entities

954-810-15-2 If the reporting entity is an investor-owned health care entity, this Subtopic provides consolidation guidance for reporting relationships with other entities in addition to the guidance in the following locations:

a. Pursuant to paragraph 810-10-15-3(a), if an investor-owned health care entity has an interest in an entity, it must determine whether that entity is within the scope of the Variable Interest Entities Subsections of Subtopic 810-10 pursuant to paragraph 810-10-15-14. If that entity is within the scope of the Variable Interest Entities Subsections, the investor-owned health care entity shall first apply the guidance in those Subsections. Paragraph 810-10-15-17 provides specific exceptions to applying the Variable Interest Entities Subsections.

b. Pursuant to paragraph 810-10-15-3(b), if the investor-owned health care entity has an interest in an entity that is not within the scope of the Variable Interest Entities Subsections of Subtopic 810-10 and is not within the scope of the Subsections mentioned in paragraph 810-10-15-3(c), it shall use only the guidance in the General Subsections of Subtopic 810-10 to determine whether that interest constitutes a controlling financial interest.

c. Pursuant to paragraph 810-10-15-3(c), if the investor-owned health care entity has a contractual management relationship with another entity (for example, a physician practice) and that other entity is not within the scope of the Variable Interest Entities Subsections of Subtopic 810-10, it shall use the guidance in the Consolidation of Entities Controlled by Contract Subsections of Subtopic 810-10 to determine whether the arrangement constitutes a controlling financial interest.

d. Subparagraph superseded by Accounting Standards Update No. 2015-02.

e. Pursuant to Section 810-30-15, if the investor-owned health care entity is a sponsor in a research and development arrangement, it shall apply the guidance in Subtopic 810-30.

954-810-15-3 If the reporting entity is a not-for-profit business-oriented health care entity, this Subtopic provides consolidation guidance for reporting relationships with other entities in addition to the guidance in the following locations:

a. Pursuant to paragraph 810-10-15-17, not-for-profit business-oriented health care entities are not subject to the Variable Interest Entities Subsections of Subtopic 810-10 unless the not-for-profit entity is used by a business entity in a manner similar to a VIE in an effort to circumvent the provisions of those Subsections.

b. If the not-for-profit, business-oriented health care entity has an investment in a for-profit entity, it shall use the guidance in the General Subsections of Subtopic 810-10 to determine whether that interest constitutes a controlling financial interest.

c. If the not-for-profit, business-oriented health care entity has a contractual management relationship with another entity (for example, a physician practice), it shall use the guidance in the Consolidation of Entities Controlled by Contract Subsections of Subtopic 810-10 to determine whether the arrangement constitutes a controlling financial interest.

d. Subparagraph superseded by Accounting Standards Update No. 2015-02.

dd. If the not-for-profit, business-oriented health care entity is the general partner or limited partner of a for-profit limited partnership or similar legal entity (such as a limited liability company that has governing provisions that are the functional equivalent of a limited partnership), it shall apply the guidance in paragraphs 958-810-25-11 through 25-29 and 958-810-55-16A through 55-16I.

e. If the not-for-profit, business-oriented health care entity is a sponsor in a research and development arrangement, it shall apply the guidance in Subtopic 810-30.

f. If the not-for-profit, business-oriented health care entity has a relationship with another not-for-profit entity that involves control, an economic interest, or both, it shall apply the guidance in Subtopic 958-810.

g. If the not-for-profit, business-oriented health care entity is engaged in leasing transactions with a special-purpose-entity (SPE) lessor, it shall consider whether it should consolidate the lessor in accordance with the guidance in paragraphs 958-810-25-8 through 25-10.

h. Except where it elects to report such interests at fair value in accordance with the Fair Value Option Subsections of Subtopic 825-10, a not-for-profit, business-oriented health care entity that owns 50 percent or less of the common voting stock of an investee and can exercise significant influence over operating and financial policies shall apply the guidance in Subtopic 323-10.

i. Except where it elects to report such interests at fair value in accordance with the Fair Value Option Subsections of Subtopic 825-10, a not-for-profit, business-oriented health care entity shall report noncontrolling interests in for-profit real estate partnerships, limited liability entities, and similar entities over which the reporting entity has more than a minor interest under the equity method in accordance with the guidance in Subtopic 970-323. A not-for-profit, business-oriented health care entity shall apply the guidance in paragraph 970-323-25-2 to determine whether its interest in a for-profit partnership, limited liability entity, or similar entity is a controlling interest or a noncontrolling interest. A not-for-profit, business-oriented health care entity shall apply the guidance in paragraph 323-30-35-3 to determine whether a limited liability entity should be viewed as similar to a partnership, as opposed to a corporation, for purposes of determining whether a noncontrolling interest in a limited liability entity or a similar entity should be accounted for in accordance with Subtopic 970-323 or Subtopic 323-10.

PENDING CONTENT

Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** 105-10-65-10

If the reporting entity is a not-for-profit business-oriented health care entity, this Subtopic provides consolidation guidance for reporting relationships with other entities in addition to the guidance in the following locations:

a. Pursuant to paragraph 810-10-15-17, not-for-profit business-oriented health care entities are not subject to the Variable Interest Entities Subsections of Subtopic 810-10 unless the not-for-profit entity is used by a business entity in a manner similar to a VIE in an effort to circumvent the provisions of those Subsections.

b. If the not-for-profit, business-oriented health care entity has an investment in a for-profit entity (other than a limited partnership or similar legal entity [such as a limited liability company that has governing provisions that are the functional equivalent of a limited partnership]), it shall use the guidance in the General Subsections of Subtopic 810-10 to determine whether that interest constitutes a controlling financial interest.

c. If the not-for-profit, business-oriented health care entity has a contractual management relationship with another entity (for example, a physician practice), it shall use the guidance in the Consolidation of Entities Controlled by Contract Subsections of Subtopic 810-10 to determine whether the arrangement constitutes a controlling financial interest.

d. Subparagraph superseded by Accounting Standards Update No. 2015-02.

dd. If the not-for-profit, business-oriented health care entity is the general partner or limited partner of a for-profit limited partnership or similar legal entity (such as a limited liability company that has governing provisions that are the functional equivalent of a limited partnership), it shall apply the guidance in paragraphs 958-810-25-11 through 25-29 and 958-810-55-16A through 55-16I.

e. If the not-for-profit, business-oriented health care entity is a sponsor in a research and development arrangement, it shall apply the guidance in Subtopic 810-30.

f. If the not-for-profit, business-oriented health care entity has a relationship with another not-for-profit entity that involves control, an economic interest, or both, it shall apply the guidance in Subtopic 958-810.

g. If the not-for-profit, business-oriented health care entity is engaged in leasing transactions with a special-purpose-entity (SPE) lessor, it shall consider whether it should consolidate the lessor in accordance with the guidance in paragraphs 958-810-25-8 through 25-10.

h. Except where it elects to report such interests at fair value in accordance with the Fair Value Option Subsections of Subtopic 825-10, a not-for-profit, business-oriented health care entity that owns 50 percent or less of the common voting stock of an investee and can exercise significant influence over operating and financial policies shall apply the guidance in Subtopic 323-10.

i. Except where it elects to report such interests at fair value in accordance with the Fair Value Option Subsections of Subtopic 825-10, a not-for-profit, business-oriented health care entity shall report noncontrolling interests in for-profit real estate partnerships, limited liability entities, and similar entities over which the reporting entity has more than a minor interest under the equity method in accordance with the guidance in Subtopic 970-323. A not-for-profit, business-oriented health care entity shall apply the guidance in paragraph 970-323-25-2 to determine whether its interest in a for-profit partnership, limited liability entity, or similar entity is a controlling interest or a noncontrolling interest. A not-for-profit, business-oriented health care entity shall apply the guidance in paragraph 323-30-35-3 to determine whether a limited liability entity should be viewed as similar to a partnership, as opposed to a corporation, for purposes of determining whether a noncontrolling interest in a limited liability entity or a similar entity should be accounted for in accordance with Subtopic 970-323 or Subtopic 323-10.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Control

The direct or indirect ability to determine the direction of management and policies through ownership, contract, or otherwise.

Economic Interest

A not-for-profit entity's (NFP's) interest in another entity that exists if any of the following criteria are met:

a. The other entity holds or utilizes significant resources that must be used for the purposes of the NFP, either directly or indirectly by producing income or providing services.

b. The NFP is responsible for the liabilities of the other entity.

See paragraph 958-810-55-6 for examples of economic interests.

Health Maintenance Organization

A generic group of medical care entities organized to provide defined health care services to members in return for fixed, periodic premiums (usually paid monthly) that are paid in advance.

Legal Entity

Any legal structure used to conduct activities or to hold assets. Some examples of such structures are corporations, partnerships, limited liability companies, grantor trusts, and other trusts.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-810-45-1 Whether the financial statements of a reporting health care entity and those of one or more other for-profit entities or not-for-profit entities (NFPs) shall be consolidated, whether those other entities shall be reported using the equity method, and the extent of disclosure that is be required (if any) if consolidated financial statements are not presented, shall be based on the nature of the relationship between the entities. See paragraphs 954-810-15-2 through 15-3.

954-810-45-2 Paragraph 958-810-25-2A explains that, in some situations, certain actions require approval by a supermajority vote of the board. That paragraph states that such voting requirements might overcome the presumption of control by the owner or holder of a majority voting interest. (For related implementation guidance, see paragraph 958-810-55-4A.) Pursuant to paragraph 810-10-15-17(a) a not-for-profit, business-oriented health care entity is not subject to the Variable Interest Entities Subsections of Subtopic 810-10, except that it may be a related party for purposes of applying paragraphs 810-10-25-42 through 25-44. Also, if a not-for-profit, business-oriented health care entity is used by business entities in a manner similar to a variable interest entity (VIE) in an effort to circumvent the provisions of the Variable Interest Entities Subsections of Subtopic 810-10, that not-for-profit entity shall be subject to the Variable Interest Entities Subsections of that Subtopic.

954-810-45-3 Paragraph not used.

954-810-45-3A A parent corporation typically owns stock in a for-profit entity, whereas a sole corporate member holds membership rights in a not-for-profit entity. Sole corporate membership in a not-for-profit entity, like ownership of a majority voting interest in a for-profit entity, shall be considered a controlling financial interest, unless control does not rest with the sole corporate member (for instance, if the other [membership] entity is in bankruptcy or if other legal or contractual limitations are so severe that control does not rest with the sole corporate member).

954-810-45-3B When consolidated financial statements are required or permitted by Section 958-810-25, a noncontrolling interest shall be provided if such interest is represented by an economic interest whereby the noncontrolling interest would share in the operating results or residual interest upon dissolution. (See presentation and disclosure requirements in Sections 958-810-45 and 958-810-50, respectively.)

954-810-45-3C Not-for-profit, business-oriented health care entities shall not report an investment in an entity at fair value, as described in paragraph 958-325-35-6, if that entity is required to be consolidated.

> Medical Malpractice Claims

954-810-45-4 In general, a trust fund, whether legally revocable or irrevocable, shall be included in the financial statements of the health care entity. A portion of the fund equal to the amount of assets expected to be liquidated to pay malpractice claims classified as current liabilities shall be classified as a current asset; the balance of the fund, if any, shall be classified as a noncurrent asset. Revenues and administrative expenses of the trust fund are included in the statement of operations. In some circumstances, the foregoing may not be possible (for example, if a common trust fund exists for a group of health care entities; if the health care entity is part of a common municipality risk-financing internal service fund; or if the legal, regulatory, or indenture restrictions prevent the inclusion of a trust fund in a health care entity's financial statements).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Medical Malpractice Trust Fund

954-810-50-1 The existence of the trust fund and whether it is irrevocable shall be disclosed in the financial statements.

> Noncontrolling Interests

954-810-50-2 A not-for-profit, business-oriented health care entity shall include the performance indicator in the schedule required by paragraphs 958-810-50-4 through 50-5. Paragraph 958-810-55-25 illustrates the required disclosure using a reconciling schedule in notes to the consolidated financial statements.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Consolidations

954-810-60-1 For contractual arrangements between entities that are in business to practice and dispense medicine (physician practices) and entities that are in business to manage the operations of those physician practices (physician practice management entities), see the Consolidation of Entities Controlled by Contract Subsections of Subtopic 810-10.

954 Health Care Entities

815 Derivatives and Hedging

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

954-815-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Comprehensive Income	Added	Maintenance Update 2014-20	09/29/2014
Other Comprehensive Income	Added	Maintenance Update 2014-20	09/29/2014
954-815-25-2	Amended	Maintenance Update 2014-20	09/29/2014
954-815-45-1	Amended	Accounting Standards Update No. 2017-12	08/28/2017
954-815-50-1	Amended	Maintenance Update 2014-20	09/29/2014
954-815-50-1	Amended	Accounting Standards Update No. 2011-05	06/16/2011
954-815-50-2	Added	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-815-05-1 This Subtopic provides guidance on accounting for derivative instruments and hedging activities for not-for-profit, business-oriented health care entities.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

954-815-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15, with specific entity qualifications noted below.

> Entity

954-815-15-2 The guidance in this Subtopic applies only to not-for-profit, business-oriented health care entities.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Comprehensive Income

The change in equity (net assets) of a business entity during a period from transactions and other events and circumstances from nonowner sources. It includes all changes in equity during a period except those resulting from investments by owners and distributions to owners. Comprehensive income comprises both of the following:

a. All components of net income
b. All components of other comprehensive income.

Net Income

A measure of financial performance resulting from the aggregation of revenues, expenses, gains, and losses that are not items of other comprehensive income. A variety of other terms such as net earnings or earnings may be used to describe net income.

Other Comprehensive Income

Revenues, expenses, gains, and losses that under generally accepted accounting principles (GAAP) are included in comprehensive income but excluded from net income.

Performance Indicator

A performance indicator reports results of operations. A performance indicator and the income from continuing operations reported by for-profit health care entities generally are consistent, except for transactions that clearly are not applicable to one kind of entity (for example, for-profit health care entities typically would not receive contributions, and not-for-profit health care entities would not award stock compensation). That is, a performance indicator is analogous to income from continuing operations of a for-profit entity.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

ⓘ **General Note for Fair Value Option:**Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

954-815-25-1 Not-for-profit, business-oriented health care entities do not frequently enter into foreign currency hedges. Therefore, this guidance focuses on matters pertaining to fair value and cash flow hedges.

954-815-25-2 Except as provided in paragraph 954-815-50-1, not-for-profit health care entities shall apply the provisions of Topic 815 (including the provisions pertaining to cash flow hedge accounting) in the same manner as for-profit entities. That is, the gain or loss items that affect a for-profit entity's income from continuing operations similarly shall affect the not-for-profit health care entity's performance indicator, and the gain or loss items that are excluded from a for-profit entity's income from continuing operations (such as items reported in other comprehensive income) similarly shall be excluded from the performance indicator by the not-for-profit health care entity.

45 Other Presentation Matters

ⓘ **General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-815-45-1 The absence of a requirement to report a separate component of equity in the balance sheet of a not-for-profit, business-oriented health care entity shall not preclude those entities from using comprehensive income reporting for qualifying gains and losses on cash flow and fair value hedges. For a fair value hedge, amounts may be recorded in other comprehensive income if amounts are excluded from the assessment of effectiveness and are recognized in earnings through an amortization approach in accordance with paragraph 815-20-25-83A. Although accumulated other comprehensive income will inherently be carried forward in a not-for-profit health care entity's net assets, there is no compelling need for it to be reported separately in the balance sheet.

50 Disclosure

ⓘ **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

954-815-50-1 Paragraph 815-30-50-2 discusses requirements to report changes in the components of comprehensive income pursuant to paragraphs 220-10-45-14 through 45-14A. Although not-for-profit, business-oriented health care entities are not subject to the requirements of Subtopic 220-10, this Subtopic requires those entities to separately disclose the beginning and ending accumulated derivative gain or loss that has been excluded from the performance indicator (see also paragraphs 954-220-45-5 through 45-8), the related net change associated with current period hedging transactions, and the net amount of any reclassifications into the performance indicator in a manner similar to that described in paragraph 815-30-50-2. Similarly, this Subtopic requires not-for-profit health care entities to provide disclosures that are analogous to those required by paragraphs 815-30-50-1 through 50-3 and 815-35-50-2 for for-profit entities, including the disclosure of anticipated reclassifications into the performance indicator of gains and losses that have been excluded from that measure and reported in accumulated derivative gain or loss as of the reporting date.

954-815-50-2 Paragraph 815-10-50-4G discusses how certain other disclosures required by Topic 815 should be applied by not-for-profit, business-oriented health care entities.

954 Health Care Entities

825 Financial Instruments

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

954-825-05-1 This Subtopic provides guidance on financial instruments for not-for-profit, business-oriented health care entities.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

954-825-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 954-10-15, with specific entity qualifications noted below.

> Entities

954-825-15-2 The guidance in this Subtopic applies only to not-for-profit, business-oriented health care entities.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Performance Indicator

A performance indicator reports results of operations. A performance indicator and the income from continuing operations reported by for-profit health care entities generally are consistent, except for transactions that clearly are not applicable to one kind of entity (for example, for-profit health care entities typically would not receive contributions, and not-for-profit health care entities would not award stock compensation). That is, a performance indicator is analogous to income from continuing operations of a for-profit entity.

45 Other Presentation Matters

General Note:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

954-825-45-1 Not-for-profit, business-oriented health care entities shall report unrealized gains and losses on items for which the fair value option has been elected within the performance indicator or as a part of discontinued operations, as appropriate. See paragraph 825-10-15-7 for further guidance.